CONTRACT OF LEASE

KNOW ALL MEN BY THESE PRESENTS:

This CONTRACT OF LEASE ("Contract"), is made and entered into in Mandaluyong City, Philippines, by and between:

SHANGRI-LA PLAZA CORPORATION, a corporation duly organized and existing under and by virtue of the laws of the Philippines, and with address at the Shangri-La Plaza, EDSA corner Shaw Boulevard, City of Mandaluyong, herein represented by its **Executive Vice President for Retail and Commercial, MS. JOVITA R. POLLOSO,** hereinafter referred to as "LESSOR".

- and -

MARY GRACE FOODS, INC. doing business under the name and style of CAFÉ MARY GRACE (for MARY GRACE CAFE) a corporation/single proprietorship/partnership duly organized and existing under and by virtue of the laws of the Philippines, and with address at 2985 Mahogany St. United Parañaque II, Parañaque City, herein represented by its **Director/HR & Legal Manager, MR. ADRIAN P. DIMACALI,** hereinafter referred to as "LESSEE".

(LESSOR and LESSEE are collectively referred to herein as the "Parties")

WITNESSETH: That ---

WHEREAS, LESSOR has a shopping mall located at the junction of EDSA, Shaw Boulevard and St. Francis Street, City of Mandaluyong known as the SHANGRI-LA PLAZA (hereinafter referred to as the "Building");

WHEREAS, LESSEE desires to lease that portion of the Building known as **Unit 5009, Level 5, East Wing,** with an area of approximately **195.00 square meters** specifically described in the plot plan of the Building which is attached hereto and made an integral part hereof as Annex A (hereinafter referred to as the "Leased Premises"), and LESSOR agrees to lease, let and demise the Leased Premises to LESSEE;

NOW THEREFORE, for and in consideration of the payment of rents and of the faithful compliance with all the terms, provisions, conditions and covenants hereinafter contained, LESSOR hereby leases, lets and demises unto LESSEE, and LESSEE does hereby accept the Leased Premises under this Contract under the following terms and conditions:

ARTICLE 1 – DEFINITION OF TERMS AND INTERPRETATION

Section 1.1 **DEFINITIONS** - As used herein, the following terms shall have the following respective meanings:

"Acceptance Date" shall have the same meaning attributed to it in the Award Notice between the Parties dated **18 August 2025** which forms an integral part hereof.

"Contract" refers to this Contract of Lease.

"Common Areas" shall refer to the areas defined in Article 8 hereof.

"CUSA and Air Conditioning Charges" shall refer to the amount payable by LESSEE as LESSEE's proportionate share in the costs being incurred by LESSOR in the maintenance of the Common Areas.

"Days" shall mean calendar days which shall be construed as successive periods of twenty four (24) hours each, whether such periods are business days or not.

"Fit-out Period" shall refer to the period specified in the Award Notice reckoned from the Handover Date during which LESSEE shall complete all fit out works in the Leased Premises. The Fit-out Period shall be inclusive of the period it shall take for LESSEE to submit its plans and for LESSOR to review and approve the same.

"Force Majeure" shall mean an act, event or cause, which is unexpected or unforeseen, or if foreseen, must be impossible to avoid, or which is beyond the control of LESSOR or LESSEE (e.g., war, earthquake, fire, etc.). Any act, event or cause in which there is contributory negligence by either of the Parties shall not be deemed a force majeure.

From 01 October 2026 to 30 September 2027: A Minimum Guaranteed Rent of **Pesos One Thousand Six Hundred Eighty and 00/100 (P1,680.00)** per square meter per month (exclusive of VAT) OR Basic Rent of **Pesos One Thousand Five Hundred Twenty Two and 50/100 (P1,522.50)** per square meter per month plus **FIVE PERCENT (5%) of Gross Sales** (exclusive of VAT), whichever is higher.

From 01 October 2027 to 30 September 2028: A Minimum Guaranteed Rent of **Pesos One Thousand Seven Hundred Sixty Four and 00/100 (P1,764.00)** per square meter per month (exclusive of VAT) OR Basic Rent of **Pesos One Thousand Five Hundred Ninety Eight and 63/100 (P1,598.63)** per square meter per month plus **FIVE PERCENT (5%) of Gross Sales** (exclusive of VAT), whichever is higher.

From 01 October 2028 to 30 September 2029: A Minimum Guaranteed Rent of **Pesos One Thousand Eight Hundred Fifty Two and 20/100 (P1,852.20)** per square meter per month (exclusive of VAT) OR Basic Rent of **Pesos One Thousand Six Hundred Seventy Eight and 56/100 (P1,678.56)** per square meter per month plus **FIVE PERCENT (5%) of Gross Sales** (exclusive of VAT), whichever is higher.

From 01 October 2029 to 30 September 2030: A Minimum Guaranteed Rent of **Pesos One Thousand Nine Hundred Forty Four and 81/100 (P1,944.81)** per square meter per month (exclusive of VAT) OR Basic Rent of **Pesos One Thousand Seven Hundred Sixty Two and 48/100 (P1,762.48)** per square meter per month plus **FIVE PERCENT (5%) of Gross Sales** (exclusive of VAT), whichever is higher.

(b) For the second and every subsequent year of the Term, the Minimum Guaranteed Rent and the Basic Rent shall be increased to a sum no less than the prevailing market rate for the Minimum Guaranteed Rent and the Basic Rent for similar premises but provided always that each increase in the Minimum Guaranteed Rent and the Basic Rent shall be no less than TEN percent (10%) of the Minimum Guaranteed Rent and the Basic Rent for the preceding year.

(c) The term "Gross Sales" as used in this Contract shall be understood to mean the total amount of all sales and other revenues from all business conducted in, upon or from the Leased Premises, including the businesses conducted by LESSEE or any of its employees or agents, and whether such sales and revenues be effected by or through cash, check, credit, credit card, charge account, barter, exchange or otherwise, without regard to whether or not collection is made of the amounts for which credit was given, and shall include, without limitation, the total gross amounts received or accrued for the sale of food, beverages, goods, wares and merchandise, the total amounts received or accrued for services performed in, at or from the Leased Premises, for equipment and other rentals, and the amounts of all fees and similar payments received or accrued from the business conducted in, upon or from the Leased Premises, together with the amounts of all gift certificates tendered or used to pay for merchandise sold in the Leased Premises. Any transaction on installment basis involving the extension of credit or deferral of payments, such as, but not limited to "lay away" sales and conditional sales, shall be treated as a sale for the full price reckoned at the time the merchandise is invoiced to the customer. If any one or more departments or other divisions of LESSEE's business should be conducted by any person, firm or corporation other than LESSEE, then there shall be included within the term Gross Sales all of the gross sales of such departments or divisions, in the same manner and with the same effect as if the business or sales departments and divisions of LESSEE's business had been conducted by LESSEE itself. Gross Sales shall further include any sales of any product or service by any employee or agent of LESSEE at the Leased Premises. Included in the term Gross Sales are sales of any "outside" or traveling salesman of LESSEE, when such sales persons are supervised by or must report their activities and sales to LESSEE or any employee of LESSEE at the Leased Premises. Gross Sales shall not be reduced by any fee, service charge or discount paid to any of LESSEE's credit card or other credit extending agency. There shall be no adjustment to the Gross Sales for any cash shortages.

LESSEE may, however, deduct from Gross Sales the lesser of the price of or credit allowed in lieu of merchandise returned by customers for exchange or reimbursement; Provided, that the price of the merchandise delivered to such customers in any exchange shall be included in the Gross Sales. Gross Sales shall not include the amount of such value-added, sales, excise or gross receipts tax imposed by any municipal or national government authority directly on sales collected from customers; Provided, that the amount thereof is actually paid by LESSEE to such government authority; Provided further, that the amount of value-added or similar tax, whether or not billed to the customer as a separate item, and allowed by the proper government authority(ies) as a deduction or exclusion from sales shall likewise be allowed as a deduction or exclusion from Gross Sales. LESSEE's accounting to LESSOR as required in Section 3.2 (e) hereof and such other relevant provision herein shall specifically set forth the amount of any such tax or such fees, service charges or discount, as well as the nature thereof.

(d) In case an extraordinary depreciation of the Philippine Peso should supervene during the term of this Contract, LESSOR shall be authorized to adjust the Minimum Guaranteed Rent due accordingly. Extraordinary depreciation shall be conclusively presumed to have supervened if the exchange rate of the Philippine Peso to the U.S. dollar should change by more than TWENTY PERCENT (20%) during any twelve (12) month period. The exchange rate of the Philippine Peso to the U.S. dollar as determined by the Bankers'

"*Handover Date*" shall be the date specified in the Award Notice when physical possession of the Leased Premises is tendered by LESSOR to LESSEE, in such condition as would allow LESSEE to commence its own works on the Leased Premises.

"*House Rules and Regulations*" shall mean the guidelines that the LESSEE shall adhere to at all times in the course of conducting its business in its Leased Premises and in the Building. This can be accessed, downloaded and printed by scanning the QR code in Annex B.

"*Lease*" shall mean the lease granted and accepted under this Contract.

"*Leased Premises*" shall refer to the area specifically described in Annex "A" to this Contract.

"*Award Notice*" shall refer to the Award Notice dated **18 August 2025** signed by the Parties which sets forth some of the basic terms and conditions of this Contract and which forms an integral part hereof.

"*Opening Date*" shall refer to the date that the Leased Premises shall be opened by LESSEE for business as stated in the Award Notice and in Section 5.1 hereof.

"*Term*" shall mean the term of this Lease as set forth in Section 2.1 hereof.

"*Rent*" shall refer to the main monetary consideration for the Lease, in the amounts set forth in Section 3.1 hereof.

"*Rental Commencement Date*" shall refer to the date when the payment of Rent on the Leased Premises by LESSEE shall commence as provided in Section 3.1.2 hereof.

"*Security Deposit*" shall refer to the deposit described in Section 3.3 hereof.

Section 1.2 INTERPRETATION - The following rules shall be observed and applied in this Contract, except when the context clearly indicates otherwise:

(i) The masculine gender includes the feminine and neuter, and *vice versa*; and

(ii) The singular number includes the plural, the plural, singular.

Section 1.3. HEADINGS - The headings or titles of each Article or Section herein are used for convenience only, and do not in any way control, limit or qualify the actual text or meaning of each Article or Section.

ARTICLE 2 – TERM, RENEWAL, PRE-TERMINATION

Section 2.1 TERM. - (a) Subject to the provisions of this Contract and in consideration of the payment of the Rent, LESSOR grants unto LESSEE and LESSEE hereby accepts the lease of the Leased Premises ("Lease") for a term commencing on **01 September 2025 to 30 September 2030** ("Term").

(b) No interruption in the physical possession of the Leased Premises by LESSEE for any reason whatsoever, including force majeure, shall serve to extend the Term. Should LESSEE remain in possession of the Leased Premises after the expiration of the Term or any renewal hereof without LESSOR's consent, such continued possession of the Leased Premises for any length of time shall not be deemed or considered a renewal or extension of the Term, and shall be subject to the holdover penalty as provided in Section 12.5 hereof. In case LESSEE remains in possession of the Leased Premises after the expiration of the term with LESSOR's consent, such continued possession shall not be deemed to be a renewal of the Term. Until LESSOR and LESSEE agree on the terms of any renewal as provided in Section 2.2 below, LESSEE's continued possession shall be deemed only to be on a month to month lease.

Section 2.2 RENEWAL. - (a)Upon the expiration of the Term, the lease may be renewed for such period and under such terms as may be mutually agreed upon by the Parties, provided, that the rate of rent for the first year of any renewal period shall not be less than the market rate prevailing at the date of such renewal. The Parties shall agree on the terms of any renewal of the lease at least sixty (60) days prior to expiration. Prior to the terms of any renewal being agreed upon between LESSOR and LESSEE in writing, and negotiations for renewal terms being ongoing notwithstanding, either of LESSEE or LESSOR may decide not to pursue any renewal of the lease. On the part of the LESSOR, the LESSOR may issue unto the LESSEE a notice of non-renewal at least thirty (30) days prior to expiration. Provided, where no such notice of non-renewal is issued to the LESSEE by LESSOR, and LESSOR for its part does not receive from LESSEE any notice of any intention not to renew LESSEE's lease also thirty (30) days prior to expiration, it shall be understood as between the Parties that LESSEE shall be obliged to retain the Leased Premises for another thirty (30) days beyond the expiration of the Term, but at an increased rental rate which shall not be more than ten per cent (10%) of the rate subsisting on expiration date. If LESSEE does not desire such automatic renewal for one month, LESSEE shall mandatorily serve upon LESSOR a notice of non-renewal of lease at least thirty (30) days prior to the expiration of the Term, for LESSEE to be entitled to vacate the Leased Premises upon the

expiration of the Term without further charges. Should LESSEE notify LESSOR of its intention to terminate its lease, but said notification is relayed to the LESSOR with only less than thirty (30) days prior to the expiration of the Term, LESSEE shall be obliged to retain its lease of the Leased Premises for the month next following the expiration of the Term, or pay the rental therefor at the rental rate aforementioned. No long term lease shall be implied of such automatic one (1) month extension, and LESSEE shall be obliged to vacate the same at the end of said one (1) month period, unless the Parties have in the meantime agreed on the terms for a long term renewal.

(b) Where, after the Parties shall have formally agreed on the terms of any renewal of the Term, LESSEE shall opt not to continue with the renewal for any reason whatsoever, other than the inability of LESSOR to maintain LESSEE in the Leased Premises, LESSEE shall nevertheless be obliged to pay the agreed rent on the Leased Premises for the entire period of the renewed lease as set forth in the Parties formal agreement in respect thereto, or until the LESSOR finds a suitable and acceptable replacement lessee for the Leased Premises. The security deposit required for the renewal shall be forfeited in favor of LESSOR.

(c) LESSOR shall not be obliged in any manner whatsoever to find a replacement lessee, nor shall LESSOR be obliged or compelled to accept an unacceptable or unsuitable lessee as determined by LESSOR. In the event that a new lessee acceptable to LESSOR agrees to lease the Leased Premises for at least the entire period of the renewed term, LESSEE shall unconditionally and promptly indemnify LESSOR of all costs which LESSOR may incur in preparing the Leased Premises for the occupation of the new lessee. LESSOR's certification of said costs accompanied by reasonable proof thereof shall be conclusive upon LESSEE. Where the new lessee desires to rent the Leased Premises for a period less than the renewed term agreed upon by the Parties, LESSEE shall nevertheless pay the rent as provided in the preceding paragraph for the months not covered by the lease of the new lessee. Where the rate of rent agreed upon between LESSOR and the new lessee is less than the rate of rent agreed upon between LESSOR and LESSEE for the renewed term, LESSEE shall pay unto LESSOR the deficiency in the rental rate for the duration of the renewed term.

Section 2.3 PRE-TERMINATION. - (a) In the event that LESSEE preterminates this Lease prior to the expiration of the Term for any reason whatsoever (except for those attributable to the gross negligence or willful misconduct of LESSOR), the full amount of the Security Deposit without deductions whatsoever shall be forfeited in favor of LESSOR. LESSEE shall further be obliged to pay the Rent as provided in Section 3.1 hereof until the end of the Term, or until LESSOR finds a suitable and acceptable replacement lessee.

(b) The latest Rent payable by LESSEE in the month prior to LESSEE's pretermination or the last rental payment made by LESSEE prior to pretermination whichever is higher shall be the amount of Rent payable by LESSEE for the duration of the period described in the preceding paragraph.

(c) Where the new lessee desires to rent the Leased Premises for a period less than the unexpired portion of the Term, LESSEE shall nevertheless pay the Rent aforementioned for the months not covered by the lease of the new lessee. Where the rate of rent agreed upon between LESSOR and the new lessee is less than the rate of rent agreed upon between LESSOR and LESSEE for the duration of the Term, LESSEE shall pay unto LESSOR the deficiency in the rental rate for the duration of the unexpired portion of the Term. LESSOR shall not be obliged in any manner whatsoever to find a replacement LESSEE, nor shall LESSOR be obliged or compelled to accept an unacceptable or unsuitable lessee as determined by LESSOR. In the event that a new lessee acceptable to LESSOR agrees to lease the Leased Premises for at least the entire period of the Term, LESSEE shall unconditionally and promptly indemnify LESSOR of all costs which LESSOR may incur in preparing the Leased Premises for the occupation of the new lessee. LESSOR's certification of said costs accompanied by reasonable proof thereof shall be conclusive upon LESSEE.

(d) In the event that LESSEE preterminates its lease of a portion of the Leased Premises for any reason whatsoever, LESSEE shall be obliged upon pretermination to pay the corresponding Rent on the portion of the Leased Premises given up, up to the end of the Lease Term. The security deposit corresponding to the area given up by LESSEE shall also be forfeited in favor of LESSOR. Provided, that no pretermination of any portion of the Leased Premises shall be allowed unless consented to expressly and in writing by LESSOR.

(e) Where, upon the effective date of pre-termination, LESSEE is found to have outstanding obligations owed to LESSOR remaining unsettled, LESSEE shall fully pay the same. Where the LESSEE fails to make the full payment of said outstanding obligations as required, LESSOR shall be automatically be constituted as LESSEE's attorney-in-fact with the same rights and powers as are described in Section 12.3 hereof.

ARTICLE 3 - PAYMENT OBLIGATIONS

Section 3.1 RENT. – (a) LESSEE shall pay to LESSOR by way of rent for the use and occupancy of the Leased Premises, a monthly amount equivalent to either of the following, whichever is higher ("Rent"):

> **From 01 September 2025 to 30 September 2026:** A Minimum Guaranteed Rent of **Pesos One Thousand Six Hundred and 00/100 (P1,600.00)** per square meter per month (exclusive of VAT) OR a Basic Rent of **Pesos One Thousand Four Hundred Fifty and 00/100 (P1,450.00)** per square meter per month plus **Five Percent (5%) of Gross Sales** (exclusive of VAT), whichever is higher.

Association of the Philippines Reference Rate shall be conclusive upon the parties. LESSOR shall furnish LESSEE written notice of the adjustment made in the Minimum Guaranteed Rent as provided herein. The adjusted Minimum Guaranteed Rent shall be effective on the succeeding calendar month after such notice is furnished.

3.1.1 CUSA AND AIR CONDITIONING CHARGES - (a) In addition to the Rent, LESSEE shall pay within the period described in Section 3.1.3 below its proportionate share of all costs and expenses of every kind and nature as may be paid or incurred by LESSOR during the term of this Contract for the Common Areas, which shall include, but not be limited to, security services, landscape maintenance, janitorial services, pest control services, water charges, air-conditioning, electrical charges and other utilities for the Common Areas, management and administrative services ("**CUSA and Air Conditioning Charges**") computed at the rate of Philippine **Pesos Three Hundred Ten and 00/100 (P310.00)** per square meter per month (exclusive of VAT) of the Leased Premises.

(b) The *CUSA and Air Conditioning Charges* shall be subject to adjustment at LESSOR's sole discretion, depending on prevailing costs without need of prior notice to LESSEE. Any such adjustment shall be charged retroactive to the date the increase in LESSOR's cost relative to the items included in the *CUSA and Air Conditioning Charges* occurs.

(c) Payment of the *CUSA and Air Conditioning Charges* shall coincide with the Rental Commencement Date. However, in the event that LESSEE opens the Leased Premises for business earlier than the Rental Commencement Date, then LESSEE shall be obliged to pay the *CUSA and Air Conditioning Charges* beginning on the day that LESSEE opens the Leased Premises for business.

(d) Nothing in this Section 3.1.1 shall prohibit LESSOR from levying additional charges on LESSEE for utilities and services in the common areas where LESSEE's usage of the same calls for the levying of additional charges as determined by LESSOR.

3.1.2 RENTAL COMMENCEMENT. – LESSEE shall commence paying the Rent on **01 November 2025,** or upon opening of the store for commercial operations, whichever is earlier ("Rental Commencement Date"). LESSEE's failure to complete the fit-out works in the Leased Premises for any reason whatsoever (not attributable to LESSOR's gross negligence or willful misconduct) prior to or on Rental Commencement Date shall not entitle LESSEE to any deferment of the Rental Commencement Date.

3.1.3 LIQUIDATION OF RENTALS. – (a) It is expressly agreed that the Rent shall be liquidated and paid at the office of LESSOR or its assigns, without necessity of demand, within the first seven (7) calendar days of the month to which the rent corresponds.

(b) In addition to the Rent, LESSEE shall pay the *CUSA and Air Conditioning Charges* as specified in Section 3.1.1 hereof and other charges, within the first seven (7) calendar days of the succeeding month upon receipt of the appropriate statement of costs and expenses, without necessity of demand.

(c) Payment of the Rent and other charges shall be made either in cash or check payable to the order of LESSOR. The receipt of a check in payment of the Rent shall not produce the effect of payment until the amount thereof is actually encashed or credited by the collecting bank in favor of LESSOR.

3.1.4 NON-ABATEMENT. - No interruption in the physical possession of the Leased Premises by LESSEE for any reason whatsoever, except under those circumstances specifically allowed elsewhere in this Contract, shall serve to abate the Rent.

3.1.5 CONFIDENTIALITY. - It is hereby understood that both LESSOR and LESSEE consider the Rent hereunder to be strictly confidential, and LESSEE agrees that it shall not include in any and all disclosures, documents and instruments of whatever nature, any mention of such rent payable to LESSOR, unless required by law or regulation and in consultation with LESSOR.

Section 3.2 SALES REPORTING AND OTHER REQUIREMENTS FOR PERCENTAGE AND FIXED RATE TENANTS. – (a) REGISTERED INVOICES/TAPES. - All transactions of LESSEE must be covered by appropriate sales invoices bearing the name of LESSEE's branch or outlet and registered in an electronic recording machine acceptable to LESSOR. Such recording machine shall electronically store sales information for LESSOR's retrieval or contain locked-in cumulative tapes with cumulating capacity. The cash register tapes or sales information stored in the computerized equipment and all supporting invoices and documentation shall be preserved for examination by auditors of LESSOR.

(b) ELECTRONIC RECORDING MACHINE - LESSOR may at any time adopt an electronic recording and/or processing system or change the existing system to monitor the sales as defined herein and operations of the tenants, and LESSEE agrees that it shall use or install in its leased premises such necessary machine with communication capability and other equipment as may be

required by LESSOR to be connected to the system, and that it shall adopt such recording documentation methods and procedures as shall be compatible with such system. LESSEE hereby expressly agrees that all costs and expenses necessary to comply with the requirements of LESSOR shall be solely at LESSEE's own expense. The foregoing shall likewise apply in the event of a necessary upgrade of the monitoring system. It is understood that LESSEE shall coordinate with LESSOR on the selection and installation of electronic recording machine.

(c) SALES MONITORING. - LESSEE hereby agrees to the daily monitoring of sales of its establishment by allowing LESSOR to retrieve sales data or to conduct reading of cash register tapes and submission of the Z-reading tape immediately which should be not later than 10AM of the following day or summary of Daily Sales Report as circumstances warrant.

LESSEE agrees to pay immediately upon demand any and all assessments arising from LESSOR's examination of LESSEE's records. In cases where an audit discloses an understatement of the Gross Sales by TWO PERCENT (2%) or more, LESSEE shall forfeit its right to avail itself of discounted rates (when applicable) and shall pay the additional rental immediately upon demand. Gross, repeated or continuous understatement of the Gross Sales shall entitle LESSOR to increase the Minimum Guaranteed Rent in an amount equivalent to not less than TWO HUNDRED percent (200%) of the Minimum Guaranteed Rent, or terminate or cancel this Contract after giving LESSEE written notice thereof thirty (30) days prior to the effective date of termination, at the option of the LESSOR, without prejudice to the exercise by LESSOR of any other right or remedy it might have at law or equity.

(d) BOOKS OF ACCOUNT AND RECORDS - LESSEE shall maintain books of accounts and other business records, and preserve the same for purposes of audit. In case LESSEE has other branches, LESSEE shall keep separate records of its sales derived from the Leased Premises such as receipts and other books of accounts.

LESSEE shall keep all sales invoices, official receipts, cash register tapes/sales data, books of accounts such as, but not limited to, the general ledger, cash register books and sales books, supporting papers and other business records LESSOR may deem reasonably necessary to determine LESSEE's Gross Sales. All such records shall be preserved for a period of three (3) years.

LESSEE shall faithfully and accurately record and report all its transactions. Any misrepresentation or dishonesty in the reading and/or reporting, i.e., invoicing or registering in the machine, etc., of any transaction by LESSEE or by LESSEE's agent or employee shall be a ground for the immediate termination or cancellation of this Contract. LESSEE shall additionally be liable to LESSOR for damages arising from said misrepresentation or dishonesty as determined by LESSOR, including but not limited to unreported transactions discovered by LESSOR. Any misrepresentation discovered by LESSOR in the reporting and recording of the LESSEE's transactions shall be sufficient ground for the immediate termination by LESSOR of this Contract. LESSOR shall not be obliged to establish said misrepresentation, misreporting, or misrecording to be willful or substantial to be able to exercise its right of termination.

(e) REPORTING OF GROSS SALES - For the purpose of monitoring, LESSEE shall furnish and deliver to LESSOR without necessity of demand within the first five (5) calendar days after the end of each calendar month beginning on the first month of store operations, a written statement certified by LESSEE or its authorized agent setting forth the Gross Sales made by LESSEE in, upon or from the Leased Premises during each preceding month. In addition, within thirty (30) days after the end of each calendar year, LESSEE shall furnish LESSOR a statement certified by LESSEE or its agent, setting forth the Gross Sales for the year itemized in months, made in, upon or from the Leased Premises during the preceding year. LESSEE hereby agrees that the foregoing is subject to a separate audit.

LESSEE's failure to provide any and all required accounting reports as abovedescribed and within the periods aforestated shall subject LESSEE to a penalty of Philippine Pesos Ten (P10.00) per sqm. for every day of delay. LESSEE's consistent refusal to submit its sales reports for three (3) consecutive months as herein required shall give rise to the right of LESSOR to forthwith terminate this Contract.

Where LESSEE pays a fixed rate of rent, LESSEE shall nevertheless be obliged to furnish LESSOR with the report required in the first paragraph of this Section and in the manner described in said first paragraph to enable LESSOR to fully evaluate LESSEE's sales performance in any given period. LESSOR shall have the right to audit LESSEE's books and records to determine the correctness of the sales reports submitted by LESSOR to LESSEE. The refusal of LESSEE to submit the sales reports or to allow LESSOR to conduct an audit of its books and records shall subject LESSEE to a penalty of Philippine Pesos Ten (₱10.00) per sqm. for every day of delay. LESSEE's refusal to submit its sales reports for three (3) consecutive months as herein required shall give rise to the right of LESSOR to forthwith terminate this Contract.

(f) GOVERNMENT REPORTORIAL REQUIREMENTS. - In accordance with the requirements of the law, LESSEE hereby agrees to submit on a quarterly basis to LESSOR without necessity of demand the appropriate proof of remittance to the government agency of taxes withheld on all rental payments and VAT levies on sale and all other reports that may be required by LESSOR.

In the event that LESSEE fails to submit the appropriate proof of remittance of taxes withheld on all rental payments, LESSEE hereby agrees to pay LESSOR the value of the claimed withholding tax in addition to the rent. Any amount of VAT imposed by LESSEE on sales but were not remitted to the government authority shall not be allowed as deduction from Gross Sales.

LESSEE hereby grants LESSOR permission to submit or open such reports regarding LESSEE's sales transactions as and whenever required by examiners of the Bureau of Internal Revenue or of the City of Mandaluyong. LESSOR shall not incur any liability whatsoever to LESSEE on account or by reason of such submissions.

(g) AUDIT OF SALES. - LESSEE hereby expressly authorizes LESSOR or its authorized representative to conduct at any time an audit of all such records of LESSEE's transactions in order that LESSOR may monitor LESSEE's compliance with its obligations under Article 3 hereof.

Section 3.3 SECURITY DEPOSIT. – (a) Within the period stipulated in the Award Notice, LESSEE shall pay unto LESSOR a Security Deposit equivalent to **six (6)** months Minimum Guaranteed Rent ("Security Deposit").

(b) The Security Deposit shall not be deemed to be or treated as payment of the Rent or any other amount owed by LESSEE unless consented to in writing by LESSOR. LESSOR shall retain the Security Deposit as security for the faithful performance of each and every term, provision, covenant and condition of this Contract. LESSOR shall be entitled, but not obligated to apply the Security Deposit to the Rent or other charges in arrears or to damages for the failure by LESSEE to perform any of the terms, provisions, covenants and conditions of this Contract.

(c) The Security Deposit shall be increased as the Minimum Guaranteed Rent and/or the area of the Leased Premises is increased and LESSEE hereby covenants to pay upon demand by LESSOR any such increase to the Security Deposit. LESSEE further covenants to pay on demand any amount necessary to maintain the Security Deposit in the amount required in this Section 3.3, if the Security Deposit has been applied by LESSOR towards the Rent or other charges in arrears or any damages due from LESSEE to LESSOR.

3.3.1 RETURN OF THE SECURITY DEPOSIT. -The Security Deposit shall be returned to LESSEE, without any interest, after sixty (60) working days from the expiration of the Term, provided that at the end of said sixty (60) day period, LESSEE shall have completely and satisfactorily vacated and delivered the Leased Premises to LESSOR, less whatever amounts LESSEE may owe LESSOR, or less whatever amounts may be deducted by LESSOR from the Security Deposit pursuant to this Contract. Notwithstanding the delivery of the Leased Premises by LESSEE to LESSOR at the expiration of the sixty (60) day period aforementioned, LESSOR shall have the right to continue to withhold the Security Deposit and apply all or any portion of the same to the payment of any damage to the Leased Premises or to third parties occasioned by LESSEE's use/occupation of the Leased Premises and unpaid utility services up the period ending on the date when LESSEE shall have completely vacated the Leased Premises to LESSOR's satisfaction, as well as to any and all amounts still owed by LESSEE to LESSOR in connection with or arising from LESSEE's lease of the Leased Premises.

3.3.2 FORFEITURE OF THE SECURITY DEPOSIT. - The Security Deposit shall be forfeited in favor of LESSOR in any of the following cases:

(i) Cancellation of this Contract or pretermination of this Lease at any time prior to the expiration of the Term at the instance of LESSEE for any reason whatsoever, except in the cases of cancellations of this Contract or preterminations of this Lease expressly allowed in the relevant provisions hereof; or
(ii) Breach by LESSEE of any of the provisions of this Contract where such breach is not remedied to the satisfaction of LESSOR within fifteen (15) days (or within such extended period as may be granted at the sole discretion of LESSOR) from receipt by LESSEE from LESSOR of a notice of breach and demand to remedy the same, or within such period as specified elsewhere in this Contract; or
(iii) Occurrence of any of the events of default as described in Section 12.2 hereof; or
(iv) LESSEE fails to open the Leased Premises for business on Opening Date; or
(v) Failure of LESSEE to deliver to LESSOR any of the insurances required in Article 10 hereof in the manner and within the period described therein; or
(vi) Any termination by LESSOR of this Lease in the exercise of its rights as provided in the relevant provisions of this Contract; or
(vii) Under such conditions and circumstances as are described and specified elsewhere in this Contract.

The forfeiture of the Security Deposit shall be without prejudice to whatever damages may be due to LESSOR on account of any breach or occurrence of an event of default, or any other such events giving rise to LESSOR's right to forfeit the Security Deposit as aforedescribed. The forfeiture of the Security Deposit shall not be construed as a waiver by LESSOR of the performance by LESSEE of its obligations herein.

3.3.3 OFFSETTING AGAINST OTHER OBLIGATIONS. - Should LESSEE have any other obligations which remain due and unpaid under any other contract with LESSOR, LESSOR shall have the right to apply and offset the amount of these unpaid obligations against the Security Deposit in settlement thereof, upon the termination of this Lease.

Section 3.4 TAXES. – (a) LESSEE shall be liable and shall pay for all taxes, assessments, penalties, charges, rates or liens of any nature whatsoever that may, for the duration of the term of this Contract, be levied, assessed, charged or imposed or claimed on or against any improvements or fixtures in the Leased Premises.

(b) Other than the creditable withholding tax which is required to be deducted from the Rent and withheld by LESSEE for remittance to the BIR to the credit of LESSOR, all taxes payable by reason of the receipt of Rent by LESSOR (such as but not limited to VAT), as well as any other tax accruing by reason of the execution of the Contract (such as but not limited to the documentary stamp tax), shall be for the sole account of LESSEE.

The required creditable withholding tax on rental payments for the lease of real property, in the amount imposed under pertinent tax regulations, shall be withheld by LESSEE by deducting the amount of such tax from the Rent. LESSEE shall remit the taxes so withheld directly to the BIR on the dates the withholding tax return is required to be filed with the latter. Such taxes withheld and remitted shall be credited in favor of LESSOR in the pertinent tax return. Proof of the remittance of such taxes (i.e., Bureau of Internal Revenue Form 2307 or Certificate of Creditable Tax Withheld at Source, or any equivalent form issued by the BIR) shall be submitted to LESSOR within sixty (60) days from the end of each quarter of any calendar year. Upon LESSEE's failure to do so, the amount of withholding tax payable by LESSEE at the end of each quarter shall be automatically billed by LESSOR to LESSEE by way of penalty for non-submission of proof of remittance without need of notice whatsoever to LESSEE.

Section 3.5 DEPLOYMENT OF LESSOR'S OWN CASHIER. - (a) Where LESSEE has been in arrears for at least one (1) month, LESSOR, instead of exercising its rights under Sections 3.6 (d) and 12.3 hereof in case of the occurrence of an event of default, may, at its sole option, deploy its own cashier to exclusively man and handle LESSEE's cash register. Said LESSOR's cashier shall have the right to withhold forty per cent (40%) of LESSEE's daily Gross Sales and to remit the same to LESSOR on a daily basis, such remittance to thereafter be applied by LESSOR against LESSEE'S arrears, until said arrears inclusive of the relevant interest and penalty payments shall have been fully paid unto LESSOR. LESSOR may exercise its right to deploy its own cashier within the Leased Premises at any time and upon one (1) business day's notice to LESSEE. LESSEE agrees that it shall have no right to prevent the deployment of said LESSOR's own cashier for any reason whatsoever.

(b) The deployment by LESSOR of its own cashier in the Leased Premises shall be at LESSOR's sole discretion. LESSOR, may at any time and for any reason whatsoever, stop said deployment of its own cashier and opt instead to exercise its rights under Section 12.3 hereof.

(c) The compensation due to the cashier deployed by LESSOR pursuant to subparagraph (a) of this Section 3.5 shall be for the sole account of LESSEE.

Section 3.6 INTEREST AND PENALTY FOR LATE PAYMENT. – (a) Without prejudice to the exercise by LESSOR of its rights under Section 12.3 hereof, LESSEE shall pay to LESSOR interest on any amount herein provided to be paid by LESSEE that is not paid on time at the rate of **TWO PERCENT (2%)** per month, or at the maximum prevailing interest rate allowed by law or set by commercial practice to be determined solely by LESSOR at the time the obligation is due, whichever is higher, to be computed from the date of delinquency until paid in full.

(b) In addition to the preceding interest charges, all arrears shall be subject to a penalty equivalent to **THREE PERCENT** (3%) per month of the total amount payable to LESSOR, inclusive of interest, to be computed from the date of delinquency until fully paid.

(c) The preceding interest and penalty charges shall apply to any and all arrearages in the amounts herein provided to be paid by LESSEE to LESSOR by virtue of this Contract, including, but not limited to, rental payments, CUSA and Air Conditioning Charges, taxes, security deposit upgrades assessments, insurance premiums, reimbursements, and charges for public services and utilities.

(d) In the fulfillment of obligations involving the payment of money, LESSEE, without prejudice to the imposition of the interest charges and penalties mentioned above, is hereby given a grace period of fifteen (15) days from the due date thereof within which to make good the breach or default, after which period the LESSOR may cut off services and utilities, padlock the Leased Premises, and exercise its absolute

right to terminate and cancel this Contract for breach or nonperformance of its essential conditions as provided in Section 12.3 hereof.

Section 3.7 LIEN ON PERSONAL PROPERTIES OF LESSEE. - It is expressly agreed that the unpaid charges payable by LESSEE to LESSOR under this Contract shall constitute a preferred lien on all the personal properties of LESSEE existing in the Leased Premises in accordance with Articles 2241 and 2243 of the Civil Code of the Philippines. For this purpose, LESSOR is hereby authorized to prevent the removal of said properties from the Leased Premises, or demand their return from any possessor should they have been removed without the prior written consent of LESSOR.

Section 3.8 NON-ABATEMENT OF OBLIGATIONS. - In no event shall the payment of any amount due hereunder whether as Rent, CUSA and Air Conditioning Charges, and other charges as are permitted to be charged by LESSOR hereunder abate or cease to be payable on account of any cause except to the extent permitted in this Contract.

ARTICLE 4 – RIGHTS AND DUTIES OF LESSOR AND LESSEE RELATIVE TO THE LEASED PREMISES

Section 4.1 DELIVERY/HANDOVER OF LEASED PREMISES. – (a) The possession of the Leased Premises shall be delivered to LESSEE on an as is where is basis **01 September 2025** ("Handover Date"). There shall be a fit-out period which shall be from **01 September 2025 to 31 October 2025** as provided in the Award Notice. During the Fit-out Period, no rent shall be paid by LESSEE. LESSEE shall, however, be liable for the payment of the Construction Fee and the Construction bond as provided in the Award Notice. Any deferment of the Handover Date or any extension of the Fit-out Period shall be subject to the sole discretion of LESSOR. Absent LESSOR's express written consent to any such deferment or extension, the obligation of LESSEE to pay the Rent shall commence on Rental Commencement Date without need of prior notice to LESSEE.

(b) On Handover Date, LESSOR shall furnish unto LESSEE a list of the provisions or fixtures present in the Leased Premises upon handover, which provisions or fixtures shall be returned by LESSEE to LESSOR upon LESSEE's surrender of the Leased Premises to LESSOR on expiration of the term or under such other circumstances as provided in this Contract. The list shall be acknowledged by LESSEE. The failure of LESSEE to acknowledge the handover checklist on Handover Date shall not in any manner whatsoever entitle LESSEE to any deferment of the Handover Date provided in the Award Notice, nor to any extension of the Fit-Out Period, nor to any deferment of the Rental Commencement Date.

(c) If LESSOR fails to deliver the Leased Premises to LESSEE more **than six (6) months** from Handover Date owing to LESSOR's gross negligence or willful misconduct, LESSEE may either (i) request for an adjustment of the Fit-Out Period and Rental Commencement Date; or (ii) rescind this Contract without further notice to LESSOR, consequent to which LESSEE shall be entitled to the return by LESSOR of the full amount of the Security Deposit previously paid by LESSEE without interest, by way of liquidated damages. Upon LESSOR's return of the Security Deposit, LESSOR shall have no further liability to LESSEE owing to LESSOR's failure to deliver the Leased Premises within the period described in this Section 4.1 (c).

Section 4.2 PRE-CONSTRUCTION REQUIREMENTS. - (a) Prior to the commencement of any manner of construction works in the Leased Premises (fit-out works, alterations, additions, improvements, repairs, etc.), LESSEE shall:

(i) submit all the relevant drawings and plans (architectural plans, engineering plans, etc.) for LESSOR's approval. LESSEE shall be obliged to make such alterations on said drawings and plans as may be reasonably required by LESSOR;
(ii) secure all necessary permits, licenses, or authorizations as may be required by local or national laws for the carrying out of said construction works; and
(iii) submit to LESSOR the Cash Construction Bond, Contractor's All risk Insurance, Payment Bond, and Construction Fee (where applicable) as required in Sections 4.2.1, 4.2.2, 4.2.3, and 4.2.4 below.

(b) No manner of work or works shall be commenced within the Leased Premises unless LESSEE fulfills the conditions provided in subparagraph (a) of this Section 4.2 to the satisfaction of LESSOR.

(c) LESSEE shall ensure that all manner of work or works carried out in the Leased Premises shall at all times be in compliance with LESSOR's House Rules and Fit-Out Guidelines, in addition to the requirements of the relevant laws and regulations.

All work to be done in or about the Leased Premises which may affect the electrical, plumbing, sprinkler and fire detection/alarm systems of the Building as determined by LESSOR shall be carried out under the supervision of LESSOR.

4.2.1 CONSTRUCTION BOND. - Prior to any construction works (fit-out works, alterations, additions, improvements, repairs, etc.) to be undertaken by LESSEE in the Leased Premises as approved by LESSOR, LESSEE shall submit a cash construction bond amounting to

PESOS ONE HUNDRED FIFTY THOUSAND (P150,000.00) or **PESOS FIVE HUNDRED per square meter (₱500.00/sqm.)**, whichever is higher, to cover compliance with construction guidelines and requirements. The Cash Construction Bond shall be returned to LESSEE without interest after completion of construction, less any construction related charges including but not limited to damages or injury that may be caused to the Leased Premises or Building as well as to third persons during the construction period arising directly or indirectly from said construction works. Any amount of damages not covered by the Cash Construction Bond shall be promptly paid by LESSEE to LESSOR. Provided, however that LESSEE shall only have sixty (60) days from the end of the Fit-Out Period, or from the end of any period agreed upon for the completion of alterations, additions, improvements, repairs, etc. within which to complete any and all construction related deficiencies found and required by LESSOR to be rectified. Otherwise, LESSOR shall be entitled to forfeit the full amount of the Construction Bond in favor of LESSOR without need of notice to the LESSEE. In addition to LESSOR's right to forfeit the Construction Bond, LESSOR shall be entitled to undertake the rectification of the said deficiencies subject to reimbursement by LESSEE of all costs incurred in connection thereto.

4.2.2 CONSTRUCTION FEE. – A Construction Fee at such rate per month of construction as specified and determined by LESSOR, shall be paid by LESSEE to LESSOR for the duration of the fit-out works. The Construction Fee shall be paid by LESSEE prior to the commencement of fit-out works which shall answer for all utilities and service charges such as but not limited to electrical consumption, water, security, garbage disposal and other services as may be provided by LESSOR during the fit-out works in the Leased Premises by LESSEE.

4.2.3 CONTRACTOR'S ALL RISK INSURANCE. – (a) Prior to the start of any construction works in the Leased Premises (fit-out works, alterations, additions, improvements, repairs, etc.) a Contractor's All Risk Insurance Coverage ("CARI") shall be secured by LESSEE or by LESSEE's contractor, with an insurance company acceptable to LESSOR. The CARI should have as the name insured the name of the LESSEE, the name of the contractor/general contractor. Under the Third Party Liability section of the CARI, the limit of liability shall not be less than **PESOS FIVE MILLION AND 00/100 (₱5,000,000.00)** for any and all damages caused to or suffered by LESSOR or any third party, including other lessees' premises adjacent, beside, above, or below the Leased Premises arising directly or indirectly from said construction works.

4.2.4 PAYMENT BOND. - **"N/A"** Prior to the commencement of any construction works in the Leased Premises (fit-out works, alterations, additions, improvements, repairs, etc.) LESSEE shall also furnish unto LESSOR at LESSEE's expense a Payment Bond in an amount equivalent to fifteen per cent (15%) of the construction contract price to answer for all or any harm or damages which may be caused to any person or property by the carrying out of the construction works, as well as to answer for LESSEE's unpaid obligations or liability of any sort to suppliers, laborers, or for equipment used or ordered in connection with the construction works.

4.2.5 PRINCIPAL LIABILITY. Notwithstanding the submission by LESSEE to LESSOR of the Cash Construction Bond stated in Section 4.2.1, the CARI stated in Section 4.2.3, and the Payment Bond stated in Section 4.2.4, LESSEE remains to be the party principally liable to LESSOR for any and all damages and obligations covered by the Cash Construction Bond, the CARI and the Payment Bond. Thus, LESSOR shall have the right to directly compel LESSEE to make the necessary indemnifications on account of said damages or obligations. Under no circumstances may LESSEE compel LESSOR to seek direct indemnification from LESSEE's contractor for said damages or LESSEE's contractor's subcontractors, or from LESSEE's insurer or bondsman. The amount of the Construction Bond and the liability limits of the CARI and the Payment Bond shall not in any manner be interpreted to be or serve as a limitation on the amount of damages recoverable by LESSOR from LESSEE. Any damages not covered by the Cash Construction Bond, the CARI and the Payment Bond shall likewise be indemnified by LESSEE to LESSOR upon demand by LESSOR.

4.2.6 REQUIREMENTS FOR EGRESSING TENANTS. - The LESSEE, in carrying out egressing work / activities shall be obliged to observe and shall be subject to the requirements and conditions set forth in the foregoing Sections 4.2, 4.2.1, 4.2.3, 4.2.4, 4.2.5.

4.2.7 REQUIREMENTS IN CASE OF KIOSKS/LEASES WHERE NO CONSTRUCTION REQUIRED. – In the case of kiosks or leases where only minimal or no construction within the Building premises is necessary or required, LESSOR, at its sole determination, and depending on the circumstances prevailing, may lower the amount of the bonds and fees specified in Sections 4.2.1, 4.2.2, 4.2.3, 4.2.4 or waive the same.

Section 4.3 ALTERATIONS, ADDITIONS, IMPROVEMENTS. - (a) LESSEE shall not make any alteration, addition or improvement within the Leased Premises or effect the installation of any fixtures regardless of whether the same is required by the conduct of LESSEE's business, without the prior written consent of LESSOR, which consent shall not be unreasonably withheld, and subject at all times to the applicable provisions of Section 4.2 to Section 4.2.5 and to such reasonable terms and conditions as may be imposed by LESSOR. All authorized alterations, additions or improvements made by LESSEE on the Leased Premises shall be done in a manner that befits a first class establishment and at LESSEE's cost.

(b) All alterations, additions or improvements made by LESSEE, as well as any alteration, improvement or installation placed in or on the Leased Premises by LESSOR, except movable furniture and fixtures placed in the Leased Premises at the expense of LESSEE, shall become the property of LESSOR at the expiry or termination of the Lease, and shall remain upon and be surrendered with the Leased Premises as part thereof without compensation for their value to LESSEE.

(c) If however, LESSOR shall request in writing, LESSEE shall, on or prior to the termination or expiration of the Lease Term, remove any and all alterations, additions and improvements placed or installed by LESSEE in the Leased Premises. Any such removal requested by LESSOR shall be at the sole cost of LESSEE, and any and all damages arising or resulting directly or indirectly from said removal by LESSEE shall be the sole liability of LESSEE.

4.3.1 LESSEE'S INSTALLATIONS. - LESSEE may install, at its own expense and at any time during the term of this Contract, such necessary installations in the Leased Premises as may be required by LESSEE's business, in accordance with the plans submitted and approved by LESSOR, subject to LESSEE's compliance with the applicable provisions of Section 4.2 to Section 4.2.5. Provided, that the strength and general structure of the Building or the Leased Premises are not thereby impaired or otherwise adversely affected. Provided, further, that the other conditions of this Contract are not thereby violated.

The installation of additional plumbing, electrical, and/or gas connections in the Leased Premises shall be for the sole account and expense of LESSEE, and may be done only after LESSEE has submitted the necessary plans and obtained the prior written consent and approval of LESSOR. Such installations shall be made and undertaken in such a manner as to cause no injury or damage to the Leased Premises; however in the installation of additional electrical appliances, such as, but not limited to, water coolers, office refrigerators and fans, where extra outlets will be needed, LESSEE shall first submit to LESSOR for approval a plan showing such additional outlets. Moreover, LESSEE shall employ only the services of a licensed electrical engineer approved by LESSOR so that any resulting additional load of electric current shall be within the electrical load capacity of the Building, thereby minimizing fire hazards. LESSEE shall further comply with the requirements of the Fire Department, the City Engineer's Office and such other responsible national or local government authorities.

LESSEE shall make a declaration of the maximum electric load in the Leased Premises and submit periodically as required by LESSOR a list of all electrical fixtures, appliances, equipment and such facilities that LESSEE is using in the Leased Premises.

4.3.2 NO LIEN. – No work performed by LESSEE in the Leased Premises, whether pursuant to this Lease or otherwise, whether in the nature of construction, alteration, addition, improvement, remodeling or repair, shall be deemed to be for the immediate use and benefit of LESSOR, and no mechanic's or materialman's lien shall be allowed against the estate of LESSOR by reason of any consent given by LESSOR to LESSEE to improve or conduct any works in the Leased Premises. LESSEE shall promptly pay all persons furnishing labor or materials with respect to any work performed by LESSEE to its contractor in or about the Leased Premises and LESSEE shall discharge of record within twenty (20) days from the filing thereof, by payment or bonding, any mechanic's lien filed against the Leased Premises or the Building for work or supplies claimed to have been furnished to LESSEE.

Section 4.4 USE OF THE LEASED PREMISES. - (a) The Leased Premises shall be leased for the specific and limited purpose of **a first-class café engaged in the business of selling continental food such as but not limited to pasta, salad, sandwich, hot & cold beverages and different varieties of cakes, desserts and pastries such as but not limited to ensaymada, cheese rolls, specialty, classic cakes and dessert squares under the business name of MARY GRACE CAFE** and/or as indicated in such relevant annexes as may be signed by the Parties and attached hereto. LESSEE shall not divert the Leased Premises for other purposes without the prior written consent of LESSOR, it being expressly agreed that if, at any time during the existence of this Contract and without the prior written consent of LESSOR, the Leased Premises are used for purposes other than what has been agreed upon, LESSOR may demand orally or in writing that LESSEE cease such unauthorized use of the Leased Premises within a maximum period of three (3) days from the time of oral or written demand by LESSOR. In case LESSEE fails to comply with LESSOR's demand within the period stated herein and LESSEE continues the unauthorized use of the Leased Premises, LESSOR shall have the right to forthwith terminate this Contract without further notice to LESSEE. LESSEE shall further indemnify LESSOR of any and all damages arising directly or indirectly from said unauthorized use of the Leased Premises.

(b) In no case shall LESSEE use the Leased Premises for any illegal, unlawful or immoral trade or activity.

(c) Should LESSEE operate a non-food establishment in the Leased Premises, as provided for herein, it is further expressly understood that under no circumstances shall LESSEE permit the use of the Leased Premises as an eatery for the cooking and/or sale of food and hard or soft beverages of any kind whatsoever.

4.4.1 PROHIBITIONS ON USE OF THE LEASED PREMISES. - LESSEE shall not use, cause or permit the use of the Leased Premises in any improper manner or purpose other than that for which it is intended. Without limiting the generality of the foregoing, LESSEE shall not use or permit the Leased Premises to be used as sleeping quarters or domestic premises or allow any person to remain in the Leased Premises overnight, unless required by the exigencies of LESSEE's business, nor allow the Leased Premises to be used for drying laundry, hanging, placing or storing any article of clothing or similar items. Neither shall the Leased Premises be used for the service or sale of food or beverages of any kind, unless LESSEE's contract of lease covers a restaurant and similar establishments. LESSEE shall not allow the Leased Premises to be used for any illegal or immoral purpose, or in any manner which may be a cause for the imposition of a fine, forfeiture or penalty against LESSOR under any applicable law. Neither shall the Leased Premises be used for the manufacture or storage of goods, articles or things, other than storage of goods for the purpose of and in quantities consistent with LESSEE's business as carried on at the Leased Premises. LESSEE shall not keep, store or permit or suffer to be kept and stored any dangerous goods or other explosive or hazardous substance. No auction, fire, bankruptcy, close-down or similar sales of the assets of LESSEE shall be conducted in the Leased Premises.

Section 4.5 MAINTENANCE OF THE FIRST CLASS CONDITION OF THE LEASED PREMISES. - LESSEE warrants unto LESSOR that it shall at all times maintain the Leased Premises in such condition as befits a first class entity in accordance with the standards set by LESSOR. LESSEE agrees that LESSOR shall have the right, where LESSOR deems it proper upon LESSOR's evaluation of the Leased Premises, to compel LESSEE to renovate the Leased Premises in such manner as may be reasonably made to maintain the Leased Premises' first class ambiance. LESSOR shall not arbitrarily exercise the right conferred upon LESSOR in this paragraph. Any and all expenses for the renovation shall be for the sole account of LESSEE.

Section 4.6 CARE OF THE LEASED PREMISES. - (a) Maintenance of Leased Premises. - LESSEE shall, at its sole expense, maintain the Leased Premises in a clean and sanitary condition, free from noxious odors, disturbing noises or other nuisances and, upon the expiration or termination of this Contract, return the Leased Premises and fixtures in as good condition as they were when they were actually received at the inception of this Contract, ordinary wear and tear excepted. LESSEE shall not drive nails, screws, hooks or other abutments on or into the walls, frames or other portions of the Leased Premises or of the Building, or in any manner deface or damage any part of the Leased Premises or the Building. Any injury or damage caused or done by LESSEE may be repaired by LESSOR at the sole account of LESSEE.

(b) No obstructions. - The sidewalks, entries, passages, and corridors of the Building shall not be obstructed or used by LESSEE for any purpose other than for ingress to or egress from the Building.

(c) Prohibitions. - LESSEE shall not bring into and store in the Leased Premises anything of a highly flammable or explosive nature, or any apparatus, machinery or equipment which may cause obnoxious odors, tremors or noise, or which may expose the Leased Premises to fire or increase the fire hazard and/or insurance rate of the Building, or such other article which LESSOR may reasonably prohibit. It is hereby understood that should LESSEE do so, LESSEE shall be solely responsible for the damages which may be caused by such violation to LESSOR, its agents, employees, LESSOR's other tenants and all their guests and customers, including any increase in the insurance premiums on the Building. In addition, LESSOR shall likewise have the right to cancel or terminate this Contract.

(d) Weight/load Limitations. - LESSEE shall not bring, install, place or suspend any load, apparatus, equipment, article or device into, upon or at any floor or ceiling or any part of the Leased Premises in excess or in violation of the maximum weight and permitted locations of certain equipment, apparatus, device or articles as determined by LESSOR for the floor or ceiling of the Leased Premises. For this purpose, LESSEE shall obtain the prior written approval of LESSOR for the entry and/or removal of any load or equipment, apparatus, article or device of considerable weight and mass into and from the Leased Premises. LESSEE shall also comply with the requirements imposed by LESSOR for keeping such equipment, load, apparatus or device within the Leased Premises, including the use of supports of such dimensions and materials to distribute the weight of such equipment, load, apparatus or device as LESSOR may deem necessary. Neither shall LESSEE install, without the prior written approval of LESSOR, any air conditioning equipment in the Leased Premises other than that provided by LESSOR, nor any other plant. Equipment, apparatus or machinery which requires additional wiring, or which consume electricity not metered through the electric meter from which LESSEE's consumption of electricity is calculated. LESSEE shall not permit, suffer, or cause any act to be done whereby the maximum allowable voltage capacities of the Leased Premises shall be exceeded.

(e) Repairs of damages. - LESSEE shall repair promptly, at its sole expense, any damage to the Leased Premises or any other improvement within the Building and its surrounding areas caused by the bringing into the Leased Premises of any property for LESSEE's use, or by the installation or removal of such property, regardless of who is at fault or who caused such damage, unless such was caused by LESSOR, its agents, employees or contractors. In default of such repairs by LESSEE, LESSOR may make the same and LESSEE agrees to pay the cost thereof to LESSOR immediately upon demand. LESSEE shall be responsible for the maintenance and repair of plumbing and electrical fixtures within the Leased Premises.

(f) Notice to LESSOR of Damages. - LESSEE must notify LESSOR immediately of any damages to the Leased Premises or its appurtenances as well as any occupation, usurpation or untoward act being committed, or threatened to be committed upon the Leased Premises.

(g) Sanitary Condition. - LESSEE shall further maintain the Leased Premises in a clean and sanitary condition. LESSEE shall utilize plastic bags for the disposal of both dry and wet garbage. Unless the garbage is placed in plastic bags, the same shall not be allowed to be thrown into the authorized depository for collection. LESSOR may, from time to time, designate such garbage disposal methods as shall cater to future technology or environmental protection development.

(h) Preservation of Clean and Tenantable Condition - LESSEE shall well and sufficiently preserve, repair and maintain in good, clean, tenantable condition (reasonable wear and tear excepted), at its own cost, the interiors of the Leased Premises, including the flooring, doors, windows, cables, conduits, wiring, sockets, electrical installations, and plumbing fixtures found in or about the Leased Premises. LESSEE shall ascertain that all electric equipment are turned off, and all electronic switches and outlets are in the "off" position after office hours, except those machines and switches which operate their communication facilities such as facsimile machines and computers. All windows, glass or plate glass of or in the Leased Premises broken or damaged due to the fault or negligence of LESSEE, its guests, employees or agents shall be replaced at the cost of LESSEE. The Leased Premises and additions and installations supplied by LESSOR shall be kept in good, clean and tenantable condition (reasonable wear and tear excepted). LESSEE shall provide itself at its cost and expense, with receptacles which the appropriate ordinance or regulations may require to hold and contain waste matter, garbage and refuse and shall keep the same in securely sealed containers and shall dispose of such garbage on a daily basis in the manner prescribed by LESSOR. It shall keep drains, pipes, sanitary or plumbing apparatus, used exclusively by LESSEE, its employees, guest, clients or customers in good, clean and tenantable condition (reasonable wear and tear excepted) and in accordance with the requirements imposed by regulations of governmental authorities, LESSOR. LESSEE shall pay LESSOR for all costs incurred for cleaning, repairing or placing any of the same when found to be blocked or stopped owing to the careless and improper use or neglect thereof by LESSEE, its employees, clients, customers or guests. Nothing in this paragraph shall render LESSEE liable for subsisting structural defects, or for damages by reason of the gross negligence of LESSOR, it agents, employees, or contractors.

(i) Increase in Insurance. - LESSEE shall not use the Leased Premises, the Building or any part thereof in any manner which will cause the insurance policies of the Leased Premises or of the Building against loss or damage caused by fire, storm, typhoon or other insurable perils and/or loss or claims by third parties to be rendered void or voidable, or whereby the premium due thereon may be increased, provided that, if as a result of any act, deed, matter or thing done or permitted by LESSEE, the premium on any such insurance policy is increased, LESSOR shall be entitled, without prejudice to any other remedy hereunder or under law, to recover from LESSEE the amount of such increase and shall be indemnified by LESSEE against all claims, losses, damages or claims sustained or made against LESSOR by any person as a result of a breach of this Article.

Section 4.7 REPAIRS RESULTING FROM FORCE MAJEURE. – (a) LESSEE shall give LESSOR written notice of any damage caused to the Building's structure by reason of *force majeure (where the negligence of the LESSEE does not intervene)*, within five (5) business days from the occurrence thereof. If by said damage to the Building's structure owing to force majeure (*where the negligence of the LESSEE does not intervene)*, the Leased Premises are rendered inaccessible or destroyed or substantially damaged, without any fault, omission, or contributory negligence of LESSEE, its employees, guests, customers or clients, the damage to the Building's structure shall be repaired at the expense of LESSOR, and the disturbance or discontinuance in the possession of the Leased Premises by reason of or occasioned during such repair shall confer no right of any kind to LESSEE against LESSOR, except to the extent recognized in the succeeding paragraph below.

(b) In the event that on account of the aforementioned damage due to *force majeure as described above,* the repairs required above are expected to last for at least sixty (60) but not more than ninety (90) days, as determined by a competent contractor selected by LESSOR, then the Rent shall be reduced in proportion to the area rendered unfit for use or occupation.

(c) In the event that on account of the aforementioned damage due to *force majeure as described above*, repairs required above are expected to last for more than ninety (90) days, as determined by a competent contractor selected by LESSOR, then either party shall have the right to rescind the Contract of Lease by written notice sent to the other party, without need of any judicial action within five (5) business days from the date LESSEE and LESSOR are informed of the period of repair. Failure to exercise the right to rescind within the said period shall constitute a waiver thereof. The rescission of the Contract of Lease shall be without prejudice to the rights and remedies of either party against the other in respect of any claim or liability antecedent to such rescission. The obligation to pay the Rent and other charges or amounts due hereunder shall continue to be in full force until the date such rescission is effected. Should the Contract of Lease be rescinded upon the instance of LESSOR as provided for in this Section, the Security Deposit (less any amount that may be properly deducted therefrom in accordance with this Contract of Lease) shall be refunded to LESSEE. Where LESSEE does not exercise the right to rescind as aforementioned, the Rent shall be reduced in proportion to the area rendered unfit for use or occupation.

(d) Where the rent is proportionately reduced pursuant to Section 4.7 (b) and (c), notwithstanding such proportionate reduction, all other obligations of LESSEE, as provided hereunder, shall remain in full force and effect. In no case shall any compensation or claim be allowed against LESSOR by reason of the interruption, annoyance or injury caused to LESSEE or its property arising from any interruption in the use or possession of the Leased Premises or the repair of any portion of the Building or the Leased Premises. Further, the proportionately reduced rent shall subsist only for the period necessary to undertake the repairs as determined by a contractor acceptable to LESSOR.

It is understood in all of the above that the LESSOR's obligation to undertake repairs shall relate only to the Building's structure, and all improvements of LESSEE on the Leased Premises damaged on account of force majeure shall be restored at the sole expense of LESSEE.

Section 4.8 INSPECTION OF THE LEASED PREMISES. – (a) Subject to notice of at least one (1) day furnished by LESSOR to LESSEE in writing, LESSEE shall permit LESSOR, public utility companies, and their respective authorized representatives at reasonable times to enter the Leased Premises for the purpose of inspecting the condition of the Leased Premises or undertaking the repair and maintenance of utilities, facilities and other structural elements used or shared in common by LESSEE with the other tenants of the Building, or for determining LESSEE's compliance with any of the provisions hereunder. LESSOR or its authorized representative shall be entitled, without incurring any liability whatsoever, in the event of an emergency, to enter the Leased Premises as LESSEE's attorney-in-fact, and without need of any prior notice to LESSEE to undertake the necessary repairs or conduct the inspection thereof for the protection of the Leased Premises and the Building. Provided, that LESSOR shall exert its best efforts such that any of the activities described herein shall cause the least inconvenience to LESSEE as is possible or practicable.

(b) Notwithstanding subparagraph (a) of this Section 4.8, LESSOR shall have the right to conduct surprise inspections at any business day and any business hour of food establishments for purposes of determining compliance with LESSOR's rules and regulations and with the relevant laws and regulations on sanitation, safety, and other considerations.

Section 4.9 EXPROPRIATION. - In the event that expropriation proceedings are instituted during the term of this Contract by any instrumentality of the Government or by any other entity with authority to exercise such power, and as a result thereof, the Leased Premises may no longer be used for the purpose set forth in Section 4.4 hereof, either party may rescind this Contract upon giving the other party thirty (30) days prior written notice thereof. In case of such expropriation, LESSEE hereby unconditionally relieves and releases LESSOR from any and all liability under this Contract in connection with or arising out of such expropriation proceedings, without prejudice to whatever recourse LESSEE may have against the expropriating entity on account of damage done or caused to LESSEE or its properties.

ARTICLE 5 – RIGHTS AND DUTIES OF LESSOR AND LESSEE RELATIVE TO LESSEE'S CONDUCT OF ITS BUSINESS

Section 5.1 OPENING DATE. - LESSEE hereby undertakes to fully operate and open the Leased Premises for business on **01 November 2025, or earlier.**

Section 5.2 FAILURE OF LESSEE TO OPEN FOR BUSINESS ON OPENING DATE. - In the event that LESSEE fails to actually open the Leased Premises for business on the Opening Date for any reason whatsoever (except by reason of LESSOR's gross negligence or willful misconduct), LESSEE shall be subject to a penalty in the amounts prescribed in the LESSEE's Handbook in cases of whole day closures for every day that LESSEE delays the opening of the Leased Premises for business, reckoned from the Opening Date and until LESSEE actually opens the Leased Premises for business. At LESSOR's sole option, LESSOR may rescind this Contract upon fifteen (15) days notice to LESSEE. Upon rescission of this Contract by LESSOR as aforementioned, the Security Deposit shall also be forfeited in favor of LESSOR. LESSOR shall not incur any liability whatsoever to LESEE upon the exercise by LESSOR of its rights described in this Section 5.2.

Section 5.3 DAILY BUSINESS OPERATIONS. – (a) LESSEE hereby expressly agrees to fully operate and open the Leased Premises for business seven (7) days a week on such store hours as may be fixed by LESSOR save and except:

(i) on such days when the Building will be closed for business as may from time to time be notified by LESSOR;
(ii) where LESSEE may be prevented by closure by reason of destruction or damage to a substantial portion of the Leased Premises not attributable to LESSEE's or its agents' or employees' fault or negligence
(iii) where such closure is with the written consent of LESSOR for the purposes of carrying out with all reasonable speed, of any major repair, alterations or additions to the Leased Premises. LESSEE shall seek the written consent of LESSOR no later than five (5) days prior to the date that the Leased Premises is intended to be closed, and LESSOR is entitled at LESSOR's discretion to withhold such consent.

(b) LESSEE further confirms that LESSEE shall continue to pay the Rent and other charges including

CUSA and Air Conditioning Charges in respect of the Leased Premises, notwithstanding the fact that the Leased Premises may be closed, with or without the prior consent of LESSOR.

(c) If, for a consecutive period of seven (7) days or an aggregate period of fifteen (15) days in any calendar year, LESSEE fails to keep the Leased Premises open for business, LESSOR shall have the right to terminate this Contract upon five (5) days notice to LESSEE.

Section 5.4 BUSINESS PERMITS. - (a) LESSEE shall, at its sole expense, secure all permits and licenses as may be required by any national and/or local government authorities or private entities where applicable in connection with LESSEE's conduct of its business and the use of the Leased Premises, and copies of said permits and licenses, and any renewals thereof, shall be furnished to LESSOR not later than fifteen (15) days from Opening Date and at such times as may be requested by LESSOR. LESSEE shall comply with any and all supplementary rules and regulations promulgated by LESSOR and those which may hereafter be promulgated from time to time by LESSOR, and with all the laws, ordinances, rules and regulations promulgated by the duly constituted authorities or any national and/or local governments regarding the use, occupancy, security and sanitation of the Leased Premises. LESSEE unconditionally agrees that LESSEE 's failure to furnish LESSOR with the required permits and licenses (e.g., business or mayor's permit) within the period hereinstated shall entitle LESSOR to close and padlock the Leased Premises upon three (3) days notice to LESSEE and prevent the LESSEE from conducting any business therein until LESSEE furnishes LESSOR with the required permits and licenses. Upon LESSEE's continuing failure to furnish LESSOR with said permits or licenses thirty (30) days from the closure of the Leased Premises, LESSOR shall be entitled to terminate and rescind this Contract at any time thereafter without further notice to LESSEE.

(b) LESSOR shall have the same rights aforementioned where LESSEE fails to comply with existing laws, rules and regulations as aforedescribed relating to the use, occupancy, security, and sanitation of the Leased Premises.

Section 5.5 OTHER WARRANTIES OF LESSEE RELATIVE TO THE CONDUCT OF BUSINESS. – (a) LESSEE hereby agrees that at all such times the Leased Premises is open for business, it shall have upon the Leased Premises sufficient merchandise and adequate personnel to serve the patrons or customers of the Leased Premises.

(b) LESSEE shall keep the display windows and signs, if any, in the Leased Premises well lighted as shall be required by LESSOR, unless prevented by causes beyond the control of LESSEE.

(c) LESSEE shall warehouse, store and/or stock in the Leased Premises only such goods, wares and merchandise of such size, character and quality as LESSEE intends to offer for sale at, in or from the Leased Premises.

(d) LESSEE shall use such area of the Leased Premises for office, clerical or other non-selling purposes only as may, from time to time, be reasonably required for LESSEE's business operations in the Leased Premises; Provided, that such area shall not exceed FIFTEEN PERCENT (15%) of the total area of the Leased Premises.

(e) LESSEE shall comply with any and all supplementary rules and regulations promulgated by LESSOR and those which may hereafter be promulgated from time to time by LESSOR, and with all the laws, ordinances, rules and regulations promulgated by the duly constituted authorities or any national and/or local governments regarding the use, occupancy, security and sanitation of the Leased Premises.

(f) LESSEE warrants that it shall at all times conduct its business in a reputable manner as a quality establishment in accordance with the standards of LESSOR and those set forth in the LESSEE's Handbook. LESSEE acknowledges receipt of a copy of the LESSEE's Handbook. LESSOR shall have the sole right to determine what constitutes the reputable conduct of business in the Leased Premises or in the Building (which shall include but not be limited to the conduct of LESSEE's agents or employees, the quality of LESSEE's service or merchandise, etc.). Any complaints forwarded or lodged before LESSOR or any of its agents or representatives by any patron of LESSEE or of the Building relative to LESSEE's conduct of its business shall be forthwith communicated by LESSOR to LESSEE. LESSOR shall additionally have the right to compel LESSEE to adopt such measures as LESSOR may deem necessary and satisfactory to maintain and uphold LESSEE's reputable conduct of its business. In case of conflict between the LESSEE's Handbook and the provisions of this Contract, the latter shall prevail. LESSOR reserves the right to at any time amend all or any part of the LESSEE's Handbook as it may deem fit without need whatsoever of LESSEE's consent. LESSEE shall be bound by any such amendment upon receipt of notice thereof from LESSOR. LESSEE likewise covenants to operate the Leased Premises including all equipment and paraphernalia in a safe and reliable manner, taking into account the safety and well-being of the patrons and the customers. In the event of any suit by any third person instituted for causes of action arising from accident, injury, or death suffered while in, at or during visit to the Leased Premises, or account of or by reason of LESSEE's business LESSEE shall hold LESSOR free and harmless therefrom.

Repeated complaints from patrons of LESSEE or of the Building or other third parties regarding LESSEE's conduct of business shall entitle the LESSOR at its sole option to demand that LESSEE remedy or correct the conduct of its business within five (5) days from receipt of the notice and demand from LESSOR. Upon LESSEE's failure to remedy or correct the conduct of its business within the five (5) day period herein

specified, LESSOR, at its sole option, may: (i) close down the Leased Premises to allow LESSEE to undertake such measures as are necessary in the judgment of LESSOR to restore LESSEE's reputable conduct of its business (LESSEE shall not be entitled to any abatement of the Rent and all other charges payable by LESSEE hereunder for the entire duration of such closure); or (ii) rescind this Contract upon fifteen (15) days notice to LESSEE.

Section 5.6 PARTICIPATION IN MARKETING ACTIVITIES. - LESSEE shall be obliged to participate in any and all marketing promos or activities planned and undertaken by LESSOR, including but not limited to activations, experiential events, and performances intended to generate public patronage, increase mall traffic and optimize brand positioning of the Building and all of LESSOR's retail partners. LESSEE shall also pay its contribution to such activities at such reasonable rates as the LESSOR may determine, subject to adjustments as the LESSOR may deem necessary, upon prior notice to the LESSEE.

Section 5.7 NON-EXCLUSIVITY. - Nothing herein contained shall be construed as implying that LESSEE shall have or may expect a monopoly in its class of business in the Building. LESSOR shall have the absolute right to enter into a lease contract with any third party although said third party may be engaged in the same or similar line of business as that in which LESSEE is engaged.

Section 5.8 NON-OBSERVANCE OF LAWS. - LESSEE shall indemnify and hold LESSOR harmless against all actions, suits, damages and claims by whomsoever they may be brought or made by reason of the violation, non-observance or non-performance of any rules and regulations, local and/or national ordinances or laws, including laws and agreements on intellectual property and consumer protection, without prejudice to the right of LESSOR to cancel this Contract in case of serious or repeated violations by LESSEE.

Section 5.9 NOTICES AND SIGNS. – (a) All signs, notices, streamers, or advertising media, inscribed, painted, affixed or displayed within the Leased Premises shall be with the prior express approval of LESSOR. Where no such approval is obtained by LESSEE, LESSEE agrees that LESSOR shall have the right to demand the removal, within two (2) days from LESSEE's receipt of LESSOR's demand, of any such signs, notices, streamers, or advertising media, which are not aesthetically acceptable to LESSOR, or which do not befit a first class establishment, or which in the opinion of LESSOR are lewd, obscene, or immoral, or which LESSOR considers to be inappropriate to LESSEE's business of to the Building's first class standards. LESSEE shall not be entitled to any manner or amount of compensation whatsoever from LESSOR on account of the removal by LESSOR of said signs, notices, streamers, or advertising media.

(b) LESSEE shall not inscribe, affix, paint, or display any signs, notices, streamers, or advertising media, whether or not connected with LESSEE's business in the Leased Premises, outside of the Leased Premises, without the prior express written consent of LESSOR. LESSOR shall have the right to demand the removal, within two (2) days from LESSEE's receipt of LESSOR's demand of any such signs, notices, streamers, or advertising media. LESSEE shall not be entitled to any manner or amount of compensation whatsoever from LESSOR on account of the removal by LESSOR of said signs, notices, streamers, or advertising media.

(c) Where the removal of the signs, notices, streamers, or advertising media is undertaken by LESSOR as abovedescribed, the cost for such removal shall be charged by LESSOR to LESSEE upon reasonable proof shown to LESSEE.

Section 5.10 INTRODUCTION OR REMOVAL OF EQUIPMENT AND OTHER FIXTURES. - For the better security of all the tenants of the Building, including LESSEE, no machinery, office furniture, equipment or fixtures of any kind will be allowed to be carried into or out of the Building without LESSEE's having secured prior written authority from LESSOR and only at such times and under such rules as may be prescribed by LESSOR.

ARTICLE 6- AIR-CONDITIONING AND UTILITIES

Section 6.1 AIR-CONDITIONING. - LESSOR shall endeavor to provide chilled water supply to the Leased Premises during store hours. LESSEE shall provide at its expense its own air-handling units which shall be connected to LESSOR's chilled water supply system. LESSEE shall be liable to pay chilled water charges based on actual consumption at such rates as may be imposed by LESSOR.

LESSEE, as well as other tenants, are prohibited from installing and maintaining separate air-conditioning units or systems except with the prior written consent of LESSOR which shall be given only when, in LESSOR's sole judgment, the Leased Premises requires separate and additional air-conditioning system. In case such separate air-conditioning system is allowed to be installed in the Leased Premises, LESSEE shall bear all the costs thereof.

Section 6.2 UTILITIES. - LESSEE shall install, maintain or grant all the necessary fixtures, easements and access, and cabling requirements for the supply of utility services, including gas, electricity, chilled water, water, sewer and telephone services, from the utility service supply points to the LESSEE's premises. All installation expenses for utilities shall be for the sole account of LESSEE. In addition, LESSOR shall install and maintain a complete, adequate and sufficient water sprinkler system as a fire-extinguishing device. LESSEE shall reimburse LESSOR for LESSEE's actual consumption of gas, water, electricity, as well as telephone services, garbage disposal and other public services or utilities consumed in the Leased Premises

including related charges. For this purpose, LESSEE shall install in the Leased Premises separate sub-meter(s) for monitoring the electrical, gas, chilled water, and water utilities consumption thereof, and such other sub-meters as LESSOR may deem necessary, all of which shall be at the sole expense of LESSEE.

6.2.1 RIGHT OF LESSOR TO CUT-OFF UTILITIES. - LESSOR shall have the right to cut-off all utilities being supplied to the Leased Premises under, but not limited to the following circumstances:

(i) upon the occurrence of any of the events of default as provided in Section 12.2 hereof; or
(ii) upon the occurrence of any emergency necessitating the shutdown of all or some of the utilities in the Leased Premises; or
(iii) under such conditions specified elsewhere in this Contract.

6.2.2 ADDITIONAL EXHAUST CHARGES. Additional exhaust charges shall be imposed by LESSOR where LESSEE is a food establishment, or is otherwise determined by LESSOR to be a heavy user of exhaust provisions in the Building.

ARTICLE 7 – ASSIGNMENT, TRANSFER, OR SUB-LEASE

Section 7.1 ASSIGNMENT, TRANSFER, OR SUB-LEASE. - (a) Prohibitions - LESSEE shall not assign or transfer any or all of its interests, rights and obligations hereunder, nor sub-lease all or any part of the Leased Premises or enter into any arrangement whereby the use or possession of any part of the Leased Premises is transferred to any person regardless of whether rental or other consideration is given therefor. No right, title or interest to, in and under this Contract shall be deemed conferred or vested in any person other than LESSEE, without LESSOR's prior written consent.

(b) Permitted assignment, transfer, or sub-lease. – Where LESSOR consents in writing to the proposed assignment, transfer, or sub-lease by LESSEE of all or any portion of the Leased Premises, the assignee, transferee, or sub-lessee shall be unconditionally bound by and shall fully comply with all the terms and conditions set forth in this Contract. This condition shall be expressly provided for in any contract or agreement covering the assignment, transfer, or sub-lease. Any assignment, transfer, or sub-lease consented to by LESSOR shall not in any case be for a period exceeding the Term of this Lease. Further, any termination by LESSOR of this Contract of Lease in the exercise by LESSOR of its rights hereunder shall in the same manner be effective against the sub-lessee as it is effective against LESSEE. The assignment, transfer, or sub-lease of all or a portion of the Leased Premises notwithstanding, LESSEE shall remain to be the entity liable to LESSOR for the Rent and other charges on the Leased Premises and for all of LESSEE's obligations set forth in this Contract of Lease. Any and all damages caused by the assignee, transferee, or sub-lessee to the Leased Premises or to the Building, or to any other third party shall be deemed to have been caused by LESSEE (regardless of the fault or negligence of the assignee, transferee, or sub-lessee), and it shall be LESSEE's responsibility to fully and satisfactorily indemnify LESSOR of said damages. In cases where the sub-lessee is permitted to make direct payments of the Rent on the assigned, transferred, or sub-leased premises to LESSOR, said arrangement shall not in any manner relieve LESSEE of its primary liability to pay the Rent and other charges on the entire Leased Premises.

Section 7.2 NO MORTGAGE. - LESSEE shall not mortgage, encumber or create any security interest on all or any portion of the Leased Premises or in and to the leasehold rights granted hereunder.

ARTICLE 8 – COMMON AREAS AND PARKING

Section 8.1 AREAS OF BUILDING EXCLUDED. - The lease of the Leased Premises does not extend to the outside portions of the Leased Premises and the painting, putting or affixing of business notices, signs or other advertising media allowed in Section 5.9 hereof shall not be construed to include the outside portions of the Leased Premises.

The corridors and hallways within the Building are likewise not part of the Leased Premises, and no merchandise or other property of LESSEE shall be placed therein. LESSOR has the right to remove at any time such merchandise or other property placed within the corridors or hallways and charge the total cost of removal, handling and storage of such merchandise or material to LESSEE.

Section 8.2 COMMON AREAS. – (a) The term "Common Areas" means all the areas and facilities in the Building that are provided and designated by LESSOR for the general use and convenience of the public and all the tenants of the Building, their respective officers, employees, agents, customers and guests. The Common Areas include (but are not limited to) pedestrian walks, sidewalks, comfort rooms, elevators, escalators, service alleys, driveways, and the like, which are installed at the expense of LESSOR.

(b) Subject to the rights, powers and privileges reserved to LESSOR, LESSOR hereby grants to LESSEE, during the term of this Contract, the right to use the Common Areas for the benefit of LESSEE and LESSEE's officers, employees, agents, customers and guests in common with others entitled to such use.

(c) During the term of this Contract, LESSOR shall operate, manage and maintain the Common Areas within the Building. The manner in which the Common Areas shall be maintained, and the expenditures for such maintenance, shall be at the sole discretion of LESSOR, and the use of the Common Areas shall be subject to such reasonable regulations and charges as LESSOR shall make from time to time. LESSOR shall have the right to close temporarily or permanently, all or any portion of the Common Areas, to such extent as may be legally sufficient in the opinion of LESSOR to prevent the accrual of the rights of any person or of the public therein or for such purposes as may be solely determined by LESSOR.

(d) It is understood that LESSEE's privilege to use the Common Areas is not exclusive. Such privilege is not an integral part of this Contract and may be restricted or regulated at any time by LESSOR at its sole discretion.

Section 8.3 PARKING AND OTHER SIMILAR AREAS. - It is expressly understood that LESSEE's privilege to use the parking facilities and such other similar areas dedicated to common use is not exclusive. The privilege of such use by LESSEE and/or its officers, employees, agents, customers and guests is not an integral part of this Contract. It may, therefore, be restricted or regulated by LESSOR in any manner as LESSOR deems fit. The following general rules shall be applicable to the parking facilities and similar areas, without limitation to such other rules, regulations, or actions which LESSOR may deem applicable and appropriate:

(i) LESSOR shall have the sole and exclusive right to determine and impose such rules and regulations as it may deem necessary and proper to its operation and maintenance of the parking facilities and similar areas.
(ii) LESSEE shall not at any time park its trucks, wagons, cars or other vehicles in the parking areas, pedestrian malls and private roads except for such length of time as may be sufficient to deliver and pick up goods and merchandise to and from the Leased Premises.
(iii) LESSOR may collect parking fees from LESSEE, LESSEE'S agents or employees, or the general public, either by meter or by other reasonable basis.
(iv) LESSOR shall have the sole and exclusive right at any time to relocate driveways, entrances and exits to the Building, change the boundaries or locations of the various car park areas, diminish or re-arrange the parking pattern therein, or designate additional or elevated parking spaces.
(v) LESSEE shall not allow parking to be obstructed by its operations, except as may normally occur in connection with the needs of its business and with the written approval of LESSOR;
(vi) LESSOR shall have the right to limit the parking privileges of the employees of the various tenants in the Building on a uniform pro-rata or other reasonable basis, as well as the right to designate the particular areas to be used by such employees of the tenants;
(vii) LESSOR shall have the sole and exclusive jurisdiction and the right to police, control and regulate traffic, and promulgate reasonable rules and regulations governing the use of the parking areas, private roads, sidewalks, malls, common driveways, entrances and exits not included within the boundaries of the Leased Premises; and,
(viii) LESSOR reserves the right to conduct maintenance and repair works such as diggings and excavations on streets, sidewalks and such other areas, and no compensation or claim shall be made by LESSEE against LESSOR by reason of any inconvenience, annoyance or injury to LESSEE's business as a result thereof.

ARTICLE 9 – DAMAGES, INJURY, INDEMNIFICATION

Section 9.1 DAMAGE TO THE LEASED PREMISES. - Except where the gross negligence or willful misconduct of LESSOR intervenes, in case the Leased Premises or the improvements thereon are damaged or destroyed, whether partially or entirely, by any cause at any time during LESSEE's occupation of the Leased Premises, whether said occupation be authorized or not, during or after the expiration of the Term, or whether the damage be caused by LESSEE or by LESSEE's employees, agents or contractors, or the LESSEE's contractor's subcontractors, LESSEE shall repair, restore or reconstruct or cause to be repaired, restored or reconstructed said damaged or destroyed Leased Premises or improvements in such manner that after such repair, restoration or reconstruction, the condition thereof shall be at least equal to their condition immediately prior to such damage or destruction. The failure of LESSEE to commence such repair, restoration or reconstruction within ten (10) days from the occurrence of such damage or destruction and to complete said repair, restoration or reconstruction within a reasonable period shall be deemed a material breach of this Contract which shall entitle LESSOR to terminate this Contract without prejudice to other forms of relief or remedies provided by law. The full amount of the Security Deposit shall further be forfeited in favor of LESSOR.

Section 9.2 DAMAGE TO OTHER AREAS OF THE BUILDING - LESSEE is likewise liable for any damage to the Building, whether it be to the Building's Common Areas or to the Leased Premises of other tenants, if the damage is the result, deliberate or otherwise, of the LESSEE's operations, construction and/or repair or maintenance work, or the acts of its employees, contractors, subcontractors, suppliers or agents. LESSEE shall repair, restore or reconstruct, or cause to be repaired, restored, or reconstructed said damaged

or destroyed areas or improvements in such manner as to restore them to a condition equal to their condition immediately prior to such damage or destruction. Damaged equipment, facilities and/or merchandise shall likewise be repaired, restored or replaced. The failure of LESSEE to commence such repair, restoration or reconstruction, and/or replacement within ten (10) days from the occurrence of such damage or destruction, and to complete said repair, restoration or reconstruction and/or replacement within a reasonable period shall be deemed a material breach of this Contract, which shall entitle LESSOR to terminate this contract without prejudice to other forms of relief and remedies provided by Law. The Security Deposit shall further be forfeited in favor of LESSOR.

Section 9.3 LESSOR'S RIGHT TO REPAIR. - Should LESSEE fail to repair damages within the prescribed period stated in Sections 9.1 and 9.2 LESSOR shall have the option to make the necessary repairs in order to protect the physical integrity of the whole Mall and ensure the peaceful conduct of business for its tenants. Any and all expenses incurred in connection with said repairs shall be for the sole account of LESSEE.

Section 9.4 INJURY OR DAMAGE. - LESSEE hereby assumes full responsibility for any and all damages which may be caused to the person or property of third persons while remaining either casually or in business in any part of the Leased Premises and LESSEE further binds itself to hold LESSOR free and harmless from any such claim for injury or damage unless such injury or damage is due to the gross negligence of LESSOR.

Save by the gross negligence or willful misconduct of LESSOR or any of its agents, LESSOR shall not be liable or responsible for any damage or disturbance suffered (whether directly or indirectly) by LESSEE (whether personally or in respect of the Leased Premises or any contents therein) or by any of its employees, clients, customers or any other persons whomsoever. Without limiting the generality of the foregoing, save for the gross negligence or willful misconduct of LESSOR or any of its agents, LESSOR shall not be liable in respect of any loss, damage or injury sustained by LESSEE or any such other person or any of their properties, caused by or through any accident, happening or in any way owing to:

(i) Any failure, poor quality, inadequacy, fluctuation, interruption, malfunction, explosion or suspension of the electricity, water, telephone, emergency power or other public utility services supplied to or intended for the Leased Premises or the Building; or
(ii) The presence of bugs, vermin, ants, termites, or any other insects or pests in the Leased Premises; or
(iii) Any article delivered to or left with any of LESSOR's agents and/or employees; or
(iv) Any injury, loss or damage which LESSEE, its officers, agents, employees, customers or guests might sustain in the Leased Premises due to any cause whatsoever; or
(v) Any damage done or occasioned by or arising from gas and water pipes and all such other kinds of plumbing, or the bursting, leaking or destruction of any cistern, tank, wash stand, water closet, waste pipe, or drainage or downspout failure in, above, upon or about the Leased Premises; or
(vi) Any and all damages arising from acts of negligence of LESSEE or its officers, employees, agents, other tenants of the Building, customers and guests or any and all other persons; or
(vii) Any damage done or occasioned by or arising from any breakdown or mechanical failure of the escalators, elevators, sprinkler systems, and any and all installations and facilities for the common use and enjoyment of all tenants; or
(viii) Any damage arising from strikes, and other similar actions undertaken by the personnel of other tenants of the Mall; or
(ix) Any damage arising from natural calamities and/or acts of God; or
(x) Any escaped fumes, smoke, fire or other substances from anywhere within the Leased Premises; or
(xi) Any escape of electric current from electric wiring or cable situated upon or in any way connected with the Leased Premises or any part of the Building, or any vibration from or of any part of the Building or adjoining or neighboring premises; or
(xii) Any vibration, noise, heat or cold which may be transmitted throughout the Leased Premises; or
(xiii) Any violation of the provisions hereof or the rules and regulations adopted by LESSOR, or by any appropriate government agency in connection with the possession and maintenance of the Leased Premises by LESSEE and the conduct of business operations therein; or
(xiv) For the security or safekeeping of the Leased Premises; or any person or property found therein, including without limitation all furniture, fixtures, fittings, goods, chattels, samples, personal effects, contents or any article delivered to or left in the Leased Premises or with any of LESSOR's agents and/or employees.

Section 9.5 INDEMNIFICATION. - LESSEE shall indemnify and keep LESSOR fully indemnified against all claims, actions, demands, actions and proceedings whatsoever made against LESSOR by any person whomsoever arising as a result of or in connection with LESSEE's possession or use of the Leased Premises, or any event occurring within the Leased Premises, or any loss, damage or injury which LESSOR shall not be responsible for under Section 9.4 hereof, and against all costs and expenses incurred by LESSOR in respect of such claims, actions or demands. LESSEE shall also be responsible for any loss or damage which may be done to the Leased Premises or any part thereof or to the Common Areas due to the fault or

negligence of LESSEE, its employees, agents, customers, clients or guests. LESSEE shall, within fifteen (15) days from demand by LESSOR, pay or indemnify LESSOR for any such loss, damage or injury as described in this paragraph.

ARTICLE 10 – INSURANCES

Section 10.1 INSURANCES REQUIRED. – (a) LESSEE shall, in addition to the other insurances required elsewhere in this Contract, at its sole expense, carry during the Term the following:

(i) a Comprehensive General Liability Insurance ("CGLI") with a coverage of not less than P5,000,000.00 per occurrence (for in-line spaces) which shall be taken out and maintained by LESSEE in the joint names of LESSEE and LESSOR and stated in the CGLI policy in the format: name of LESSEE and/or name of LESSOR. In addition, said CGLI shall include the following clauses and endorsements: (i) cross liability clause; (ii) fire and explosion legal liability extension; (iii) food and drink liability extension (for tenants serving food and beverage); (iv) premises medical payments; (v) sub-contractor's liability extension; (vi) water damage legal liability; and (vii) other insurance liability extensions necessary for the LESSEE's business operations; and

(ii) a fire and allied perils insurance with a coverage of not less than an amount equivalent to the cash value of the property within the Leased Premises which property shall include but not be limited to contents leasehold improvements, equipment, furniture, fixtures, fittings (allied perils shall include but not be limited to earthquake, typhoon, flood, other coverage extensions usual to LESSEE's business operations but not limited to riot, strike, and malicious damage, broad water damage, sprinkler leakage, busting of water tanks, apparatus and pipes).

Section 10.2 Other conditions. - All insurance policies to be obtained by the LESSEE shall be written: (i) on an annual period of cover and the amount of insurance as the limit of cover of the policy; (ii) as primary policy insurance and not contributing with or in excess of any coverage which LESSOR may carry; (iii) in a form and substance acceptable to LESSOR; and (iv) issued by insurance companies acceptable to LESSOR. However for non-food kiosks, the minimum amount of the CGLI may, at the sole discretion of the LESSOR, and depending upon the circumstances prevailing, be reduced to P1,000,000.00.

Notwithstanding the submission by LESSEE to LESSOR of the insurances specified in the preceding paragraph, LESSEE shall remain to be the party principally liable to LESSOR, and nothing in the preceding paragraph shall compel LESSOR to await recovery from the relevant insurers, and LESSOR may directly recover any and all amounts of damages from LESSEE. The aforesaid insurances shall in no way affect, nor are they intended as a limitation of LESSEE's liability to indemnify and hold LESSOR free and harmless under this Contract and applicable laws.

Section 10.3 Delivery of Insurances. – The abovementioned insurances shall be delivered by LESSEE to LESSOR not later than the Opening Date specified in this Contract. The failure or continuing failure of LESSEE to deliver the aforesaid insurances within the period specified in this paragraph, or within the period required by LESSOR, shall entitle LESSOR, at its sole option, to either (i) procure on behalf of LESSEE the insurances and charge LESSEE all the costs therefore, or (ii) upon three (3) days notice to LESSEE, rescind this Contract, unless LESSEE in the meantime delivers the aforesaid insurances within said three (3) day period. The full amount of the Security Deposit shall further be forfeited in favor of LESSOR upon LESSEE's termination of this Lease as provided in this paragraph.

With respect to the fire and allied perils insurance, upon the failure of LESSEE to deliver the same within the periods described in the foregoing paragraph, LESSOR shall obtain the same on behalf of LESSEE, subject to the following:

(i) the amount of coverage that may be obtained by LESSOR shall be from P1 million to P 5 million or based on the expired policy if the insurance policy is for renewal, subject to review by LESSEE of the policy as to adequacy within seven (7) days from receiving advise from LESSOR of the latter's procurement of the said policy on behalf of LESSEE.

Section 10.4 Renewal of Insurances. – LESSEE shall have the responsibility of renewing the insurances mentioned above before their expiration, and shall furnish LESSOR proof of such renewals within three (3) days from said renewals. The failure of LESSEE to secure said renewals prior to the expiration of the aforementioned insurances shall entitle LESSOR to the same rights as those described in Section 10.3 above.

Section 10.5 Deductibles. – All deductibles under the insurances specified in Section 10.1 above, and under all other insurances requires elsewhere in this Contract, shall be borne by LESSEE.

Section 10.6 Damages in the interim. - Any and all damages, injury or liability occurring or arising during the period that LESSEE has not procured or renewed the aforementioned insurances, shall be for LESSEE's sole account and shall be fully indemnified by LESSEE to LESSOR.

ARTICLE 11 – STRIKES, LOCKOUTS AND OTHER THREATS

Section 11.1 STRIKES, LOCKOUTS AND OTHER THREATS. - In the event that a picket line is established in or outside the Leased Premises or in the vicinity thereof, or in the vicinity of the Building, due to a labor dispute involving LESSEE or arising in any way from the conduct of LESSEE's business, LESSEE shall exert its best efforts to clear the Leased Premises or the vicinity thereof, or the vicinity of the Building, of the picket line in the shortest time practicable. In the meantime, LESSOR shall have the right, for the account of LESSEE, to do whatever is necessary to maintain the security and cleanliness of the premises described in this paragraph, as well as the security and welfare of the other tenants of the Building and their guests, such as, but not limited to, the hiring of additional security guards and utility personnel. LESSEE hereby holds LESSOR, its directors, officers, employees, and agents free and harmless from any and all actions, suits, demands, or proceedings, and agrees to indemnify LESSOR, its directors, officers, employees, and agents, of damages and expenses, such as but not limited to, legal services and cost of suit, brought by any third party arising from or in connection with (i) the picket line, (ii) the acts undertaken or caused to be undertaken by LESSOR for the account of LESSEE as aforedescribed, and (iii) any other acts undertaken or caused to be undertaken by LESSOR at the request of Lessee in connection with LESSEE's labor dispute and in connection with the picket line. In the event that the picket line continues in the premises described in this paragraph for a period of three (3) days despite LESSEE's efforts to resolve the same, and the continuance of the picket line is threatening the security of the Building as well as the security and welfare of the other tenants, LESSOR shall have the option to terminate this Contract by serving notice of termination to LESSEE, thereupon, LESSOR shall be entitled to exercise its rights under Section 3.3.2 hereof relative to the forfeiture of the Security Deposit. LESSEE shall vacate the Leased Premises within the period specified in the notice served by LESSOR or within such extended period as may be granted by LESSOR. LESSOR shall incur no liability and shall not be liable to LESSEE for any amount for the exercise by LESSOR of its right as provided in this paragraph to terminate this Contract.

If, other than a picket line, other activities are carried out in the Leased Premises or the vicinity thereof or in the vicinity of the Building by LESSEE or its employees or third parties having a connection to LESSEE, which activities threaten the security of the Leased Premises, the Building and the security and welfare of other tenants of the Building, or where such activities interfere with the ability of LESSOR to manage and secure, and to conduct the regular maintenance, repair, and upkeep of, the Building, LESSEE shall immediately notify LESSOR of the said activities and exert its best efforts to immediately put a stop to the same. In the meantime, LESSOR shall have the right to exercise its rights as described in the immediately preceding paragraph.

ARTICLE 12 – TERMINATION, EVENTS OF DEFAULT, CONSEQUENCES OF TERMINATION, RETURN OF LEASED PREMISES

Section 12.1 TERMINATION. - This Contract shall terminate upon the expiration of the Lease Term, unless otherwise renewed or extended, and subject to the terms of Sections 2.1 and 2.2 hereof. This Contract shall likewise terminate upon the death of LESSEE, if a natural person, or and upon such other instances as may have been provided for in this Contract.

Section 12.2 EVENTS OF DEFAULT. - For the purpose of this Contract, the occurrence of any of the following events shall constitute an event of default:

(i) The Leased Premises shall be closed, deserted, unoccupied or abandoned for a continuous period of seven (7) days, without prior written notice to LESSOR, or for an aggregate period of fifteen (15) days for any reason whatsoever; or

(ii) LESSEE shall fail to complete the fit-out of the Leased Premises within the Fit-out Period unless LESSOR grants LESSEE additional time to complete the fit-out works; or

(iii) LESSEE shall fail to pay the Rent, CUSA and Air Conditioning Charges, and other charges due and owing within the period specified in Section 3.6 (d) hereof; or

(iv) Other than for payment of money as indicated in item (iii) above, LESSEE fails to observe or perform any of the covenants provided hereunder and the breach is not cured or remedied within fifteen (15) days from receipt by LESSEE of notice from LESSOR of the breach coupled with a demand on LESSEE to remedy the same within the period indicated in this paragraph or within such period as specified elsewhere in this Contract, or within such extended period as may be allowed by LESSOR to LESSEE where, in the opinion of LESSOR, the breach is still remediable; or any of LESSEE's representations and warranties as specified hereunder shall prove false in any material respect when made; or

(v) the corporate existence of LESSEE (when organized as corporation or partnership) shall have ceased; or

(vi) the principal stockholder(s) or partner(s) of LESSEE (when organized as a corporation or partnership) as of the date hereof, shall have changed or shall have ceased to own or control a majority of shares or interest in LESSEE, whether through voluntary disposition, merger, consolidation, restructuring, bankruptcy, liquidation or otherwise, and the new principal stockholder(s) or partner(s) controlling LESSEE shall not be acceptable to LESSOR; or

(vii) LESSEE shall file for suspension of payment or receivership with the Securities and Exchange Commission or becomes insolvent or is unable to pay its debts when due or shall commit or permit any act of bankruptcy under the applicable law; or

(viii) Where LESSEE is a franchisee or licensee, and LESSEE's franchise agreement with its franchisor has been cancelled or terminated by said principals for whatever reason. LESSOR shall not be under any obligation to determine for itself the propriety and legality of such cancellation or termination of LESSEE's franchise or license, but shall be entitled to cancel LESSEE's lease immediately upon receipt of a notice from LESSEE's franchisor of said cancellation or termination, or from LESSOR's verification of knowledge of the same as received from third parties other than LESSEE or its franchisor; or

(ix) Where LESSOR is advised of an intra-corporate controversy between and among LESSEE's partners or stockholders, and such intra-corporate controversy results in disrupting the business operations of LESSEE in the Leased Premises for more than seven (7) days. However, regardless of whether or not business operations in the Leased Premises are disrupted, where, by such intracorporate controversy, LESSOR is affected such that LESSOR is unable to determine the real representations of the parties involved, and LESSOR is uncertain as to which party shall be liable under this Contract, LESSOR shall be entitled to give LESSEE a period of fifteen (15) days within which the LESSEE shall resolve its intracorporate controversy. Should the uncertainty remain after the lapse of said period, LESSOR shall have the option to call LESSEE in default under this Contract; or

(x) Such other occurrences described elsewhere in this Contract as constituting events of default or as granting LESSOR the right to terminate or rescind this Contract.

Section 12.3 CONSEQUENCES OF DEFAULT. - (a) Termination - Upon the occurrence of any of the events of default described in Section 12.2, and upon the lapse of any curing period provided in the relevant provisions herein, the LESSOR shall have the absolute right to immediately unilaterally effect the cancellation and termination of this lease. LESSOR shall formalize its cancellation and termination of the lease through a written notice of cancellation and termination issued to the LESSEE. No further act shall be required of the LESSOR to enforce the cancellation and termination of the lease as well as all of the LESSOR's other rights as hereinafter set forth. Upon said cancellation and termination of the lease, the full amount of the Security Deposit shall be forfeited in favor of LESSOR, as well as all other deposits or monies of LESSEE remaining in the custody of LESSOR for whatever reason and paid or deposited by LESSEE to LESSOR in connection with this Contract of Lease, or in connection with any other extraneous transaction which LESSEE may have or may have had with LESSOR (these shall include but not be limited to any amount of Construction Bond remaining with LESSOR). LESSOR shall further, at the LESSOR's sole discretion, be entitled to exercise any of the following remedies, alternatively or cumulatively, in conjunction with or separately from any right or remedy granted hereunder or at law, without need of any further notice to LESSEE:

(i) LESSOR is automatically authorized and appointed as LESSEE's attorney-in-fact with the following powers and rights to:

(a) open, enter, padlock, secure, enclose or fence the Leased Premises, and/or cause the cutting-off of the supply of public utilities and services to the Leased Premises, or otherwise take full and complete physical possession and control of the Leased Premises and lock-out or prevent LESSEE or any of its officers, employees, guests, agents customers or business associates from entering the Leased Premises, unless all accounts or obligations in favor of LESSOR are in the meantime settled in full;

(b) assume and take full control and possession of all alterations, additions, improvements or installations placed in or on the Leased Premises;

(c) take an inventory of the equipment, furniture, articles or merchandise found or located in the Leased Premises which may be removed therefrom, place any of the same in storage and charge LESSEE the corresponding storage fees therefor;

(d) in case LESSEE fails to settle in full any liability to LESSOR within thirty (30) days from the date LESSOR takes possession of the Leased Premises or of LESSEE's personal properties, to dispose of said properties in a public sale and to apply the proceeds thereof to the payment of whatever liability and/or indebtedness LESSEE may owe LESSOR, including reasonable expenses incurred by LESSOR in removing such personal properties from the Leased Premises and to collect the deficiency, if any. Where any amount of LESSEE's liability to LESSOR remains unpaid after the disposition aforedescribed, LESSOR shall be entitled to collect said balance or

deficiency from the LESSEE. The appointment of LESSOR as attorney-in-fact of LESSEE shall be considered coupled with interest, and is irrevocable.

(ii) LESSOR shall be entitled to collect from LESSEE, and LESSEE shall continue to be liable for, the Rent and other charges and all applicable penalty and interest charges due thereon until the effective date of termination of this Contract. All these amounts shall be in addition to whatever damages, whether actual or consequential, which LESSOR may incur or suffer arising from the termination of this Contract. In no case shall the Security Deposit forfeited by LESSOR be applied against any amount due hereunder from LESSEE.

(iii) Should LESSOR be compelled to seek judicial relief against LESSEE or any of its employees, agents or representatives, the latter shall, in addition to the damages mentioned above, pay an amount equivalent to twenty per cent (20%) of the amount claimed in the complaint, as attorney's fees which in no case shall be less than Fifty Thousand Pesos (₱50,000.00), aside from the costs of the litigation and other expenses which the law may entitle LESSOR to recover from LESSEE.

(b) Where the LESSEE vacates the Leased Premises for whatever reason, and LESSEE leaves outstanding obligations unsettled at the time of departure, LESSOR is also hereby constituted as LESSOR's attorney-in-fact with the same rights in respect of the Leased Premises and of LESSEE's assets as may have been found or left behind in the Leased Premises as set forth in the foregoing paragraphs.

(c) Authority of LESSOR - For purposes of these provisions and other pertinent provisions in this Contract of Lease, LESSEE hereby constitutes LESSOR and its authorized representatives as LESSEE's attorneys-in-fact and all acts performed by them in the exercise of their authority are hereby confirmed and ratified by LESSEE. LESSEE hereby expressly agrees that any or all acts performed by LESSOR, its authorized agents, employees and/or representatives under the provisions hereof may not be the subject of any petition for a Writ of Preliminary Injunction or Mandatory Injunction in any court or administrative agency.

(d) Penal Provisions - Provisions of a penal character and other provisions in this Contract shall be considered as cumulative and not exclusive, and LESSOR shall be entitled to pursue either the rights enumerated hereunder and/or the remedies authorized by law, or both.

Section 12.4 OTHER CASES OF TERMINATION. This Contract shall likewise terminate upon the exercise by LESSOR of its rights to rescind this Contract under the relevant provisions hereunder other than Section 12.2. In cases of such termination, LESSOR shall also have the rights described in Section 12.3 above.

Section 12.5 RETURN OF LEASED PREMISES ON EXPIRATION OR TERMINATION. (a) Return of Leased Premises. – LESSEE hereby expressly agrees to immediately return and surrender the Leased Premises at the expiration or termination of this Contract (including pretermination) subject to the provisions of Section 4.3 (b) and (c). Where LESSOR opts for the clearing of the Leased Premises, LESSEE shall restore the same in the condition in which it was handed over to LESSEE, reasonable wear and tear excepted, devoid of all occupants, furniture, articles and effects of any kind other than alterations, additions or improvements which pertain to LESSOR or those which LESSOR specifies it desires to keep. Where all or a portion of the Leased Premises has been assigned, transferred, or sub-leased by LESSEE with LESSOR's consent, LESSEE shall be responsible for causing such assignee, transferee, or sub-lessee to vacate the Leased Premises as hereunder required either upon expiration of this Lease or upon termination of the same by reason of the exercise by LESSOR of its rights hereunder. No portion of the LESSEE's Security Deposit or construction bond shall be released to LESSEE until the Leased Premises is restored in the condition desired by LESSOR and cleared of all additions, alterations, improvements to the satisfaction of LESSOR. Where LESSEE delays the clearing works required by LESSOR or fails to render the same to LESSOR's satisfaction, LESSOR shall undertake such clearing and other works as may be necessary, and all the costs incurred thereby by LESSOR shall be chargeable to and for the sole account of LESSEE. LESSOR, at its sole option, may deduct such cost from LESSEE's Security Deposit (unless forfeited in favor of LESSOR pursuant to the relevant provisions of this Contract) or from the Construction Bond paid by LESSEE for purposes of egress. Previously forfeited monies of LESSEE shall not be subject to deduction of the aforementioned costs. Any amount still remaining due to LESSOR shall be collected by LESSOR from LESSEE.

(b) Liability for Non-delivery. – If the Leased Premises is not returned or surrendered to LESSOR at the expiration of the Term or any renewed term, or upon termination of this Lease by reason of the exercise by LESSOR of its rights hereunder, LESSEE shall be wholly responsible to LESSOR for any and all damages which LESSOR may suffer by reason of such non-delivery or non-surrender of the Leased Premises, and shall indemnify LESSOR against any and all claims which may be made by any succeeding LESSEE resulting from the delay in the delivery of the Leased Premises to the succeeding lessee to the extent that such delay is occasioned by the failure of LESSEE to deliver or surrender the Leased Premises on expiration or termination of this Lease as herein described. Further, LESSEE shall continue to be liable to LESSOR for any and all damages, injury, or liability arising directly or indirectly from LESSEE's unauthorized occupation or possession of the Leased Premises. For purposes of this sub-paragraph (b), there shall also be deemed to be non-delivery of the Leased Premises where (i) any of LESSEE's merchandise, fixtures, equipment and other property remain in the Leased Premises beyond the expiration of the Term or after termination of this Lease takes effect; or (ii) LESSEE delivers the Leased Premises to LESSOR, but such delivery does not comply with the conditions for the surrender of the Leased Premises as defined and required hereunder. LESSOR shall also

have the rights described in Section 12.3 hereof.

(c) Holdover damages/penalty. Upon LESSEE's non-delivery of the Leased Premises as required in the foregoing paragraphs, LESSEE shall pay LESSOR a sum equal to two times (2x) the applicable Rent to be paid by LESSEE to LESSOR for the period during which LESSEE shall retain the possession of the Leased Premises in the manner described in the preceding paragraph. Where LESSEE pays as Rent the Basic Minimum Guaranteed Rent plus a percentage of its gross sales, the applicable rent payable by LESSEE shall be the sum equal to the rent payable by LESSEE as determined in LESSEE's latest billing statement prior to the expiration of the Term or prior to the effectivity of termination. The exercise by LESSOR of its rights under this sub-paragraph (c) shall not be interpreted as a grant of permission to LESSEE to continue in possession of the Leased Premises beyond the term of the Lease or beyond the effective date of termination, and the payment due to LESSOR pursuant to this subparagraph (c) shall be in addition to the damages payable by LESSEE pursuant to the preceding paragraph.

(d) Insurances/bonds upon egress. Upon LESSEE's egress from the Leased Premises on account of expiration, termination, or pre-termination of the Term, or for any reason whatsoever, prior to the commencement of any demolition, bar-down or moving-out works, LESSEE or LESSEE's contractor shall secure and submit to LESSOR a Contractor's All Risk Insurance which shall include a public liability coverage of not less than ₱5,000,000.00, to answer for any and all damages caused to or suffered by LESSOR or any third party, including the other lessee's premises adjacent, beside, above or below the Leased Premises arising directly or indirectly from the carrying of the demolition, bar-down, moving out, or other egress related works. The CARI should have as the name insured the name of the LESSEE, the name of the contractor/general contractor.

LESSEE, in addition, shall maintain a Comprehensive General Liability Insurance (CGLI) with a coverage of not less than P5,000,000.00 per occurrence (for in-line spaces) and P1,000,000.00 per occurrence (for kiosk spaces) which shall be taken out and maintained by LESSEE in the joint names of LESSEE and LESSOR and stated in the CGLI policy in the format: name of LESSEE and/or name of LESSOR. In addition, said CGLI shall include the following clauses and endorsements: (i) cross liability clause; (ii) fire and explosion legal liability extension; (iii) food and drink liability extension (for tenants serving food and beverage); (iv) premises medical payments; (v) sub-contractor's liability extension; (vi) water damage legal liability; and (vii) other insurance liability extensions necessary for the LESSEE's business operations. The CGLI insurance policy shall have a policy period and shall be in effect for an additional thirty (30) days from the date of egress. A Payment Bond and Construction Bond in such amounts as defined in Sections 4.2.1 and 4.2.4 shall also be submitted by LESSEE.

Notwithstanding the submission by LESSEE to LESSOR of the CARI, the CGLI, and the Payment Bond, LESSEE remains to be the party principally liable to LESSOR for any and all damages and obligations covered by the CARI, the CGLI, and the Payment Bond. Thus, LESSOR shall have the right to directly compel LESSEE to make the necessary indemnifications on account of said damages or obligations. Under no circumstances may LESSEE compel LESSOR to seek direct indemnification from LESSEE's contractor for said damages or LESSEE's contractor's subcontractors, or from LESSEE's insurer or bondsman. The liability limits of the CARI, the CGLI, the Construction Bond, and the Payment Bond shall not in any manner be interpreted to be or serve as a limitation on the amount of damages recoverable by LESSOR from LESSEE. Any damages not covered by the CARI, the CGLI, the Construction Bond and the Payment Bond shall likewise be indemnified by LESSEE to LESSOR upon demand by LESSOR.

In the case of non-food kiosks, at the LESSOR'S sole determination and depending upon prevailing circumstances, the coverage of the foregoing insurances and bonds may be reduced to an amount also determined by the LESSOR.

(e) Effects, equipment, or merchandise left in the Leased Premises after expiration. Where Lessee leaves its effects, equipment, or merchandise within the Leased Premises or fails to remove the same upon the expiration of LESSEE's lease term, and LESSEE has no monetary obligations owed to LESSOR such as to entitle LESSOR to exercise its rights under Section 12.3 hereof, LESSOR shall have the absolute right to remove said effects, equipment, or merchandise from the Leased Premises and to transfer the same in a storage area to be determined solely by LESSOR. Storage fee shall be charged by LESSOR at the prevailing rate for the entire period that LESSOR's effects, equipment, or merchandise are left in LESSOR's possession. LESSOR shall not be responsible for any damage to the same arising from their transfer to a storage area. Said effects, equipment, or merchandise shall only be released to the LESSEE upon the payment of the relevant storage fee. If after 60 days has lapsed from the expiration of the LESSEE's lease term LESSEE still fails to claim said effects, equipment, or merchandise, LESSEE hereby grants LESSOR special authority as LESSEE's herein appointed attorney-in fact to dispose of said effects, equipment, or merchandise in such manner as LESSOR may deem appropriate, without need of notice whether oral or in writing to the LESSEE. LESSOR shall not be obliged to dispose of said effects, equipment, or merchandise at market value. LESSEE may claim the fruits arising from said disposition, but LESSOR shall be entitled to withhold therefrom the relevant storage fee while the effects, equipment, and merchandise are kept in storage, and any and all costs incurred by LESSOR (receipted or otherwise) in the disposition of the same. LESSEE shall only have a period of one (1) year from LESSOR's disposition of said effects, equipment, or merchandise, within which to claim the fruits of said disposition.

Section 12.6 INSPECTION PRIOR TO EXPIRY. - During the six (6) month period prior to the expiration of the Term, LESSOR may advertise and offer the Leased Premises to the public for lease, and LESSEE shall allow, during business hours and upon one (1) day's prior written notice, LESSOR's authorized representatives and prospective tenants to inspect the Leased Premises.

ARTICLE 13 – MISCELLANEOUS PROVISIONS

Section 13.1 EXPANSION, FURTHER DEVELOPMENT, OR RENOVATION OF THE BUILDING. – (a) LESSOR, in order to maintain the Building's reputation as a first class institution, may, from time to time, undertake any redevelopment, expansion, or renovation works in or upon the Building ("Renovation"). In cases of such Renovation, LESSEE unconditionally agrees to extend its full cooperation to LESSOR to allow LESSOR to fully implement the same. Thus, where necessary in the judgment of LESSOR, LESSEE may be compelled to temporarily vacate the Leased Premises and the Building for such length of time as may be necessary under the circumstances then prevailing. LESSEE shall be entitled to a thirty (30) days written notice before actually vacating the Leased Premises.

(b) LESSEE agrees that it shall not be entitled to any manner of compensation for any loss or damages (including but not limited to lost income or profits) arising from said Renovation. LESSEE shall, however, be entitled to suspend its payment of the Rent for the Leased Premises for the entire duration that it is unable to operate its business in the Leased Premises from the time the Renovation commenced until such time that LESSOR is ready to deliver the new Leased Premises to LESSEE, provided LESSEE is not given the use of a temporary leased premises in the Building. LESSOR does not hereby warrant that LESSEE will be delivered new premises which shall be of the same size and location as the Leased Premises. LESSOR shall, however, exert its best efforts to approximate the size and location of the Leased Premises.

(c) Where a temporary relocation site is available to LESSEE, LESSEE shall have the option to accept or not the proposed temporary relocation site. LESSEE shall be entitled to a thirty (30) days notice prior to relocation. No deductions in LESSEE's monthly Rent shall be effected as a consequence of the relocation. Where the Parties are unable to agree on the terms of the relocation, or it is necessary for LESSEE to vacate the Leased Premises to enable LESSOR to fully implement the Renovation, LESSEE shall be compelled to temporarily vacate the Building and shall have the rights set forth in the second paragraph of this Section 13.1.

(d) Where, upon LESSOR's determination, LESSEE's business will not be affected by the renovation such as to necessitate LESSEE's vacation of the Leased Premises or LESSEE's relocation, LESSEE shall be obliged to bear any and all temporary disturbances or inconveniences resulting or arising from the Renovation, without right of disturbance compensation or suspension of rental payments.

(e) The Renovation and the temporary disturbances and inconveniences suffered by LESSEE by reason thereof shall not grant unto LESSEE any right other than as described in this Article 13. LESSEE shall not have the right to pre-terminate this Contract by reason of the Renovation, unless the Renovation will take or takes more than six (6) months to complete.

Section 13.2 GOODWILL/USE OF LESSOR'S NAME. – (a) No Goodwill**. -**The grant to LESSEE of the physical possession, use, and enjoyment of the Leased Premises confers no goodwill or patronage rights over the Leased Premises to LESSEE, it being recognized that such rights belong exclusively to LESSOR as the owner of the Leased Premises. Neither shall LESSEE have any right to sell or dispose of said goodwill or patronage rights to any person.

(b) Use of LESSOR's Name. LESSEE agrees that LESSOR's name or the name of the Building shall not be used by LESSEE in any confusing, detrimental, misleading manner in connection with LESSEE's own business or tradename, and upon termination or expiration of this Lease, LESSEE shall cease to use the name of LESSOR or the Building or any part thereof in any manner, whether in connection with LESSEE's own business or tradename or otherwise.

Section 13.3 NON-WAIVER CLAUSE. - The failure of LESSOR to insist in any one or more instances upon a strict performance of any of the terms, provisions, conditions and covenants of this Contract, or to exercise any option herein contained, shall not be deemed a relinquishment or waiver of any rights or remedy that LESSOR may have, nor shall it be construed as a condonation of any subsequent breach or default of the terms and conditions and covenants hereof, which conditions and covenants shall continue to be in full force and effect. No waiver by LESSOR of any of its rights under this Contract shall be deemed to have been made unless expressed in writing and signed by the duly authorized representative of LESSOR.

Section 13.4 SEPARABILITY CLAUSE. - The Parties agree that should any clause or provision in this Contract of Lease be declared void, invalid or ineffective for any reason whatsoever, the validity of the remaining provisions shall not be affected and shall continue to be binding.

Section 13.5 VENUE. - The Parties agree that in case of any action arising out of this Contract of Lease, venue shall be laid at the proper Courts of Metro Manila.

Section 13.6 NOTICES. – (a) Any notice or other communication given by one party to the other under this Agreement shall either be delivered personally or by mail or facsimile transmission to the following:

If to LESSOR:
SHANGRI-LA PLAZA CORPORATION
Shangri-La Plaza
EDSA corner Shaw Boulevard
City of Mandaluyong

If to LESSEE:
MARY GRACE FOODS, INC.
doing business under the name and style of CAFÉ MARY GRACE
(for MARY GRACE CAFÉ)
2985 Mahogany St. United Parañaque II, Parañaque City

or such other address as either party may furnish to the other in writing.

(b) Any changes in the aforementioned LESSEE's contact address should be communicated to LESSOR in writing within 48 hours from the change in address.

(c) A notice shall be deemed to have been served as follows:

a. if personally delivered, at the time of delivery;
b. if sent by mail, at the time of receipt indicated on delivery receipt or other proof of transmittal;
c. if sent by facsimile transmission, at the time of transmission.

(d) In proving such service it shall be sufficient to prove that personal delivery was made, or that mail was received at address indicated, or that the facsimile machine by which the said notice or other communication was transmitted has generated a report showing that the said notice or other communication had been successfully faxed to the facsimile number of the addressee as set out above.

Section 13.7 ENTIRE AGREEMENT. - This Contract embodies the entire agreement of the parties hereto. This Contract shall supersede all previous communications, representations or agreements, either oral or written, between the parties hereto.

Section 13.8 AMENDMENTS IN WRITING. - No amendments whatsoever to the terms of this Contract shall be effective and valid and binding on LESSOR unless reduced in writing and duly signed by the Parties.

IN WITNESS WHEREOF, the parties have caused this Contract of Lease with reference number **RLD-EWL5-011125** to be executed at the place above-mentioned.

SHANGRI-LA PLAZA CORPORATION)
(LESSOR))
By:)
)
)
)
JOVITA R. POLLOSO)
Executive Vice President)
Retail and Commercial)

Witnessed By:

_____
Date Signed: _____

MARY GRACE FOODS, INC.
doing business under the name and style of
CAFÉ MARY GRACE
(for MARY GRACE CAFÉ))
(LESSEE))
By:)
)
)
)
ADRIAN P. DIMACALI
Director/HR & Legal Manager)

Witnessed By:

Date Signed: 7/3/26

ACKNOWLEDGMENT

REPUBLIC OF THE PHILIPPINES) S.S.
CITY OF MANDALUYONG)

BEFORE ME, a Notary Public for and in the **CITY OF MANDALUYONG**, this _____, personally appeared **JOVITA R. POLLOSO,** having satisfactorily proven to me her identity through **Passport No. P0817645B issued on 26.Feb.2019 at DFA NCR South, and valid until 25.Feb.2029,** and known to me to be same person who executed and voluntarily signed the foregoing **CONTRACT OF LEASE with reference no. RLD-EWL5-011125** which she acknowledged before me as her voluntary act and deed, that she is acting as representative of the corporation abovenamed and that she has the authority to sign in such capacity.

The foregoing **CONTRACT OF LEASE with reference no. RLD-EWL5-011125** consists of **twenty eight (28)** pages including the page on which this acknowledgment is written.

IN WITNESS WHEREOF, I have hereunto set my hand and seal of my office on the date and place first above written.

NOTARY PUBLIC

Doc No._____:
Page No. _____;
Book No. _____;
Series of _____.

ACKNOWLEDGMENT

REPUBLIC OF THE PHILIPPINES) S.S.
_____)

BEFORE ME, a Notary Public for and in the **CITY OF** _____, this _____, personally appeared **ADRIAN P. DIMACALI**, having satisfactorily proven to me his/her identity through Passport P7271334A valid until 21 May 2028 issued at DFA Manila, and known to me to be the same person who executed and voluntarily signed the foregoing **CONTRACT OF LEASE with reference no. RLD-EWL5-011125** which he/she acknowledged before me as his/her voluntary act and deed, that he/she is acting as representative of **MARY GRACE FOODS, INC. doing business under the name and style of CAFÉ MARY GRACE**, the corporation abovenamed and that he/she has the authority to sign in such capacity.

The foregoing **CONTRACT OF LEASE with reference no. RLD-EWL5-011125** consists of **twenty eight (28)** pages including the page on which this acknowledgment is written, and is signed by the parties.

IN WITNESS WHEREOF, I have hereunto set my hand and seal of my office on the date and place first above written.

NOTARY PUBLIC

Doc No._____:
Page No. _____;
Book No. _____;
Series of _____.

ANNEX B

House Rules and Regulations via QR code

Please refer to the updated copy of the House Rules and Regulations for your information and guidance. In order for you to access the file, kindly scan the QR Code below. You may download and print a copy for your respective stores.

QR Code



LEVEL 5, EAST WING

SCALE 1:900

Shangri-La Plaza	SHANGRI-LA PLAZA CORPORATION EDSA corner Shaw Boulevard Mandaluyong City, Philippines Website : www.shangrila-plaza.com	UNIT NO.	LOCATION	CFA (sqm)	DATE	REVISION	FILENAME
		-	LEVEL 5 / EAST WING	-	MARCH 2026	00	